

August 23, 2025

The Manager, Listing Department, BSE Limited, Phiroze Jeejeebhoy Tower, Dalal Street, Mumbai 400 001 Tel No.: 22721233 Fax No.: 22723719/22723121/22722037 BSE Scrip Code: 542773	The Manager, Listing Department, The National Stock Exchange of India Ltd., Exchange Plaza, 5 Floor, Plot C/1, G Block, Bandra - Kurla Complex, Bandra (E), Mumbai 400 051 Tel No.: 2659 8235 Fax No.: 26598237/ 26598238 NSE Symbol: IIFLCAPS
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Dear Sir/Madam,

Sub: Business Responsibility and Sustainability Report for FY 2024-25 pursuant to Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

Pursuant to Regulation 34(2)(f) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the Business Responsibility and Sustainability Report (BRSR) for the financial year 2024-25, which is also forms an integral part of the Company's Annual Report for FY 2024-25.

Kindly take the same on record and acknowledge.

Yours faithfully,

**For IIFL Capital Services Limited
(Formerly IIFL Securities Limited)**

Meghal
Abhishek
Shah

Digitally signed by
Meghal Abhishek Shah
Date: 2025.08.23
18:08:35 +05'30'

**Meghal Shah
Company Secretary**

Encl: As above

IIFL Capital Services Limited (Formerly known as IIFL Securities Limited)

Corporate Identity Number: **L99999MH1996PLC132983**

Corporate Office: Office No. 1, Ground Floor, Hubtown Solaris, N. S. Phadke Marg, Andheri (E), Near East West Flyover, Mumbai - 400069

Regd. Office: IIFL House, Sun Infotech Park, Road No. 16V, Plot No. B-23, MIDC, Thane Industrial Area, Wagle Estate, Thane - 400 604

Tel: (91-22) 3929 4000/ 4103 5000 • Fax: (91-22) 2580 6654 • E-mail: secretarial@iifl.com • Website: www.iiflcapital.com

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORTING

SECTION A: GENERAL DISCLOSURES

I. Details of the listed entity

- Corporate Identity Number (CIN) of the Listed Entity:** L99999MH1996PLC132983
- Name of the Listed Entity:** IIFL Capital Services Limited (Formerly IIFL Securities Limited) (hereafter referred as IIFL Capital)
- Year of incorporation:** 1996
- Registered office address:** IIFL House, Sun Infotech Park, Road No. 16V, Plot No.B-23, Thane Industrial Area, Wagle Estate, Thane - 400 604
- Corporate address:** IIFL, Ground Floor, Hubtown Solaris, N.S. Phadke Marg, Near East West Flyover, Andheri East, Mumbai - 400 069
- E-mail:** secretarial@iiflcapital.com
- Telephone:** +91 22 41035000
- Website:** www.iiflcapital.com
- Financial year for which reporting is being done:** April 1, 2024 to March 31, 2025
- Name of the Stock Exchange(s) where shares are listed:** National Stock Exchange of India Limited, BSE Limited
- Paid-up Capital:** Rs. 61,99,11,618
- Name and contact details (telephone, email address) of the person who may be contacted in case of any queries on the BRSR report:** Ms. Meghal Shah, Company Secretary & Head - ESG, +91 22 61086300, secretarial@iiflcapital.com
- Reporting boundary - Are the disclosures under this report made on a standalone basis (i.e. only for the entity) or on a consolidated basis (i.e. for the entity and all the entities which form a part of its consolidated financial statements, taken together):** Disclosures made in this report are on a standalone basis
- Name of assurance provider:** Lodha & CO LLP
- Type of assurance obtained:** Limited Assurance of BRSR Core

II. Products/services

16. Details of business activities (accounting for 90% of the turnover):

S. No.	Description of Main Activity	Description of Business Activity	% of Turnover of the entity
1	Broking & Financial Services	Broking and depository services, Distribution of financial products & Investment Banking	95%

17. Products/Services sold by the entity(accounting for 90% of the entity's Turnover):

S. No.	Product/Service	NIC Code	% of total Turnover contributed
1	Broking Services	66120	76%
2	Distribution of financial products & Investment Banking	66190	19%

III. Operations

18. Number of locations where plants and/or operations/offices of the entity are situated:

Location	Number of plants	Number of offices	Total
National	NA	111*	111*
International	NA	1	1

*This includes common branches of Group Companies where employees of the Company also work.

19. Markets served by the entity:**a. Number of locations**

Locations	Number
National (No. of States)	36 States (including Union Territories)
International (No. of Countries)	60*

*Client serviced in different countries for Institutional Equities business

b. What is the contribution of exports as a percentage of the total turnover of the entity?

1.55%

c. A brief on types of customers

IIFL Capital provides its customers with a wide range of services, including broking, financial product distribution, third-party products, and wealth solutions tailored to their various life stage needs. The Company provides investment and trading solutions to customers from various segments, including Gen Z and young millennials, Non Resident Individuals (NRIs), self-employed professionals, corporates, High Net Worth Individuals (HNIs) and Ultra HNIs, Foreign Institutional Investors, Domestic Institutional Investors, and others, to help them achieve their financial objectives through its comprehensive platforms. The Company also provides investment banking services to corporate and institutional clients. The Company is also backed with strong research credentials and is a leading institutional broker with outstanding execution capabilities.

IV. Employees**20. Details as at the end of Financial Year:****a. Employees and workers (including differently abled):**

S. No.	Particulars	Total (A)	Male		Female	
			No. (B)	% (B / A)	No. (C)	% (C / A)
			EMPLOYEES			
1.	Permanent (D)	1558	1191	76%	367	24%
2.	Other than Permanent (E)	21	14	67%	7	33%
3.	Total employees (D + E)	1579	1205	76%	374	24%

The Company does not have any workers as defined in the guidance note on BRSR, issued by SEBI.

b. Differently abled Employees:

S. No.	Particulars	Total (A)	Male		Female	
			No. (B)	% (B / A)	No. (C)	% (C / A)
DIFFERENTLY ABLED EMPLOYEES						
1.	Permanent (D)	2	2	100%	0	0
2.	Other than Permanent (E)	0	0	0	0	0
3.	Total differently abled employees (D + E)	2	2	100%	0	0

21. Participation/Inclusion/Representation of women

	Total (A)	No. and percentage of Females	
		No. (B)	% (B / A)
Board of Directors	6	1	16.66%
Key Management Personnel*	5	1	20.00%

*Key Management Personnel (KMP) includes Managing Director, Whole-time Director, Chief Financial Officer, Company Secretary & Chief Information Security Officer.

22. Turnover rate for permanent employees and workers

	FY 2024-25 (Turnover rate in current FY)			FY 2023-24 (Turnover rate in previous FY)			FY 2022-23 (Turnover rate in the year prior to the previous FY)		
	Male	Female	Total	Male	Female	Total	Male	Female	Total
Permanent Employees	23%	31%	25%	33%	40%	35%	53%	77%	59%

V. Holding, Subsidiary and Associate Companies (including joint ventures)**23. (a) Names of holding / subsidiary / associate companies / joint ventures**

Sr. No.	Name of the holding / subsidiary / associate companies / joint ventures (A)	Indicate whether holding/ Subsidiary/ Associate/ Joint Venture	% of shares held by listed entity	Does the entity indicated at column A, participate in the Business Responsibility initiatives of the listed entity? (Yes/No)
1	IIFL Facilities Services Limited	Subsidiary	100	No
2	IIFL Management Services Limited	Subsidiary	100	No
3	Livlong Insurance Brokers Limited (Formerly IIFL Insurance Brokers Limited)	Subsidiary	100	No
4	IIFL Commodities Limited	Subsidiary	100	No
5	Livlong Protection and Wellness Solutions Ltd (Formerly IIFL Corporate Services Limited)	Subsidiary	78.11	No
6	India Infoline Foundation*	Subsidiary	NA	No
7	Shreyans Foundations LLP	(Step down subsidiary company)	NA	No
8	Meenakshi Towers LLP	Subsidiary	NA	No
9	IIFL Securities Services IFSC Limited	Subsidiary	100	No
10	IIFL Capital Asset Management Limited (Formerly IIFL Securities Alternate Asset Management Limited)	Subsidiary	100	No
11	IIFL Wealth (UK) Limited#	Foreign Subsidiary	100	No
12	IIFL Capital Inc.	Foreign Subsidiary	100	No

* The Company is limited by guarantee and not having share capital.

#IIFL Wealth (UK) Limited, a wholly owned subsidiary of the Company, has undergone voluntary strike off and has been dissolved with effect from July 22, 2025.

VI. CSR Details**24. (i) Whether CSR is applicable as per section 135 of Companies Act, 2013: Yes**

(ii) Turnover (in Rs.) 21585.02 million

(iii) Net worth (in Rs.) 22195.38 million

VII. Transparency and Disclosures Compliances**25. Complaints/Grievances on any of the principles (Principles 1 to 9) under the National Guidelines on Responsible Business Conduct:**

Stakeholder group from whom complaint is received	Grievance Redressal Mechanism in Place (Yes/No)	FY 2024-25 Current Financial Year			FY 2023-24 Previous Financial Year		
	(If Yes, then provide web-link for grievance redress policy)	Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks	Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks
Communities	Yes. The CSR Policy of the Company provides for Grievance Redressal Mechanism. chrome-extension://efaidnbmnnnibpcajpegglefindmkaj/https://files.iiflcapital.com/assets/CSR_Policy_21_286d8045bc.pdf	0	0	-	0	0	-
Shareholders and investors	Yes. The same can be accessed at chrome-extension://efaidnbmnnnibpcajpegglefindmkaj/https://files.iiflcapital.com/assets/Investor_Grievance_Redressal_Policy_21_6014dfc4b3.pdf	29	1	The pending complaint was duly resolved as on the date of the report.	7	0	-

Stakeholder group from whom complaint is received	Grievance Redressal Mechanism in Place (Yes/No)	FY 2024-25 Current Financial Year			FY 2023-24 Previous Financial Year		
	(If Yes, then provide web-link for grievance redress policy)	Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks	Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks
Employees and workers	Yes, Grievance Redressal Policy is in place and same can be accessed on intranet	2	0	-	0	0	-
Customers	Yes. The customers can reach out through https://www.iiflcapital.com/contact-us Our General Grievance Redressal Policy can be accessed at chrome-extension://efaidnbmnnnibpcajpgclefindmkaj/ https://files.iiflcapital.com/assets/General_Grievance_Redressal_Policy_21_507421ec88.pdf	4364	0	-	3131	0	-
Value Chain Partners	Yes. The Business Partners can reach out through https://locate-us.iiflcapital.com/ Our General Grievance Redressal Policy can be accessed at chrome-extension://efaidnbmnnnibpcajpgclefindmkaj/ https://files.iiflcapital.com/assets/General_Grievance_Redressal_Policy_21_507421ec88.pdf	344	0	-	372	0	-

26. Overview of the entity's material responsible business conduct issues

Please indicate material responsible business conduct and sustainability issues pertaining to environmental and social matters that present a risk or an opportunity to your business, rationale for identifying the same, approach to adapt or mitigate the risk along with its financial implications, as per the following format

S. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk /opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
1	Data Privacy and Security	Risk	Rapid adoption of digitalization across our business and operations increases the risk of any breaches in data security or privacy.	IIFL Capital upholds a stringent approach to technology and cybersecurity, supported by well-defined policies and procedures to manage incidents effectively. The Company has implemented a strong reporting and resolution framework to address potential risks. The Company has achieved ISO 27001:2022 certification for Information Security Management System.	Positive - Automation of several manual processes, leading to cost saving - Increased trust and credibility across all stakeholders, aiding business performance - Stronger brand image Negative Neglecting these areas could impact client confidence and lead to loss of revenue

S. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk /opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
2	Human Capital Development	Opportunity	A well developed talent pool underpins innovation, agility and long term competitive advantage. We undertake efforts to build a congenial work environment through structured training and performance appraisal practices, thereby helping us in attracting and retaining superior talent.	Not Applicable	Positive - Improved productivity - Revenue growth Negative Upfront L&D spend (training, platforms)
3	Employee well-being and engagement	Opportunity	Engaged, healthy employees reduce turnover and absenteeism, boosting efficiency and morale. Towards this the Company undertakes several physical and mental wellbeing programmes/initiatives.	Not Applicable	Positive - Lower recruitment/absentee costs - Higher output per FTE
4	Customer relationship management	Opportunity	Our comprehensive approach to provide customers with superior experiences help us build and fortify their trust. We provide quality customer relationship services and continue to upskill our people in this regard. The Company has in place robust grievance mechanism.	Not applicable	Positive - High NPS score - Strong rate of customer retention - Strengthened grievance mechanisms and transparent communication helps reduce Compliance risks enhance brand trust
5	Operational Eco -efficiency and Emissions	Opportunity	Effective emissions management by IIFL Capital supports sustainability goals, attracts environmentally conscious investors, and reduces climate-related financial risks. Towards this a dedicated tool has been implemented to track Scope 1, 2, and 3 emissions.	Not applicable	Positive - Strengthens ESG performance and corporate reputation - Enhances investor confidence - Leads to long-term cost savings through efficient resource utilization
6	Diversity and Inclusion	Opportunity	Fostering diversity and inclusion within our Company not only nurtures innovation, creativity and a positive work culture but also extends our Company's reach in terms of talent acquisition.	Not Applicable	Positive - Access to wider talent pools and markets - Stronger employer brand

S. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk /opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
7	Climate Change Vulnerability	Risk	Climate change has introduced significant material and reputational risks for businesses.	The Company can mitigate climate risks by strengthening regulatory compliance and avoiding green washing. Educating clients and ensuring operational resilience complete a strong mitigation strategy.	Positive - Stronger client relationships - Market differentiation - Regulatory alignment Negative - Physical and transition risks
8	Non discrimination and equal opportunity	Risk	Failure to ensure fairness can lead to litigation, reputational loss and regulatory penalties.	We have an Equal Opportunity Policy and we ensure that we provide a culture of equal opportunities and antidiscrimination within our organization. We also have in place Employees Grievance Mechanism to address issues in relation thereto.	Positive - Build employee trust Negative - Potential fines/legal costs - Reputational damage
9	Innovation and Digitisation	Opportunity	Our focus is on leveraging the full potential of digitalization to drive innovation across our offerings, as well as processes. Strong in-house digital capabilities have allowed us to expand our customer base and serve niche segments efficiently.	Not applicable	Positive - Seamless business operation at lower cost - Improved turnover around time - Competitive edge
10	Human Rights	Risk	Upholding human rights through eradication of child & forced labor and Prevention of Sexual Harassment is not just a moral imperative but also a legal necessity.	We have Human Rights Policy in place. We do not engage with child and/or forced labor. Also, we have POSH Policy which adhere to zero tolerance to sexual harassment. Compliance with labor laws is paramount, for us.	Positive - Stronger social image and investor appeal Negative - Reputational damage - Legal action
11	Impact on local communities	Opportunity	Our community initiatives focus on inclusive growth by supporting marginalized and disadvantaged groups through education, healthcare, skill training, and other essential services—creating a meaningful impact in their lives. During FY25, impact assessment was conducted for the flagship CSR programme ‘Sakhion ki Badi’.	Not Applicable	Positive - Strengthens community relations - Improved brand reputation - Longterm social impact.

5. Specific commitments, goals and targets set by the entity with defined timelines, if any.	The Company is committed to adhere to the required legal and regulatory timelines for implementation of policies in true letter and spirit. Further many of the policies are made applicable to the subsidiary companies.
6. Performance of the entity against the specific commitments, goals and targets along-with reasons in case the same are not met.	IIFL Capital made strong progress on its ESG commitments during FY 2024-25. The key highlights of its ESG performance are mentioned hereunder: • Successfully achieved ISO 14001:2015 Certification for Environmental Management Systems (EMS) • Reporting Scope 3 Emission for the first time • Reporting paper & plastic waste for the first time • Gender Diversity increased from 23% to 24% in FY 2025 • Total Employee turnover reduced from 35% to 25% • 90% of beneficiaries from CSR activities are from marginalised and disadvantaged group • Two (2) differently abled employees hired in FY 2025 • New industry association with Data Security Council of India • Appointed Independent women director as Chairperson • BRSR Gap analysis done with Industry best practices • Voluntarily undertaken Limited assurance from Independent Auditors for BRSR Core Principles

Governance, leadership and oversight

7. Statement by director responsible for the business responsibility report, highlighting ESG related challenges, targets and achievements (listed entity has flexibility regarding the placement of this disclosure)

We believe that embracing Environmental, Social, and Governance (ESG) principles is fundamental to strengthening our resilience, enhancing competitiveness, and driving long-term value creation. Our commitment to sustainability not only reinforces stakeholder trust but also positions us as a responsible and future-ready organization.

As part of our structured ESG approach, we conducted a materiality assessment in FY 2025 to identify and prioritize key environmental, social, and governance issues relevant to our stakeholders and business. Based on the outcomes of this assessment, we are in the process of setting measurable targets to address these material issues in a focused and strategic manner.

We continue to advance transparency in ESG reporting and actively welcome stakeholder feedback as we pursue our sustainability goals.

Key environmental initiatives include transitioning to renewable energy sources, implementing efficient waste management systems, and reducing our carbon footprint. We have also successfully achieved ISO 14001:2015 certification for Environmental Management System, underscoring our adherence to international environmental standards. Additionally, we have commenced reporting of Scope 3 emissions, marking a significant step towards comprehensive climate accountability.

On the social front, we have made tangible progress in promoting diversity and inclusion. Gender diversity in our workforce has increased to 24%, and we have taken steps to foster a more inclusive workplace by hiring differently abled employees. Our proactive focus on wellbeing and professional development has resulted in a reduction in the attrition rate to 25%. Furthermore, around 90% of the beneficiaries of our CSR initiatives belong to marginalized and disadvantaged communities, reaffirming our commitment to inclusive growth.

In governance, we have voluntarily adopted enhanced practices, including the limited assurance of BRSR Core disclosures, demonstrating our focus on transparency and accountability. We are also proud to have appointed an independent woman Chairperson of the Board, further strengthening board independence and diversity.

These achievements collectively highlight our leadership in sustainability, responsible governance, and inclusive development. We remain committed to building a more sustainable, equitable, and resilient future for all our stakeholders.

Our progress is reflected in the CRISIL ESG ratings released in December 2024, wherein IIFL Capital has been rated 'Strong' for its ESG performance.

8. Details of the highest authority responsible for implementation and oversight of the Business Responsibility policy (ies).	Board of Directors
9. Does the entity have a specified Committee of the Board/ Director responsible for decision making on sustainability related issues? (Yes / No). If yes, provide details.	Yes, the entity has a designated ESG Committee of the Board responsible for decision-making on sustainability-related matters. The Committee provides strategic direction and oversight on the Company's ESG agenda, including the approval of the ESG strategy and roadmap. It monitors environmental factors such as climate impact, emissions, energy efficiency, and waste management; oversees social initiatives related to diversity, equity and inclusion, fair labor practices, health and safety, and community engagement; and ensures sound governance practices, including data privacy, cybersecurity, and transparency to stakeholders. The Committee also reviews ESG disclosures in line with national and global frameworks, assesses material ESG risks and opportunities, and monitors the progress and impact of ESG initiatives across the organization. As on March 31, 2025, the ESG Committee consist of 2 independent directors and 1 whole-time director.

10. Details of Review of NGRBCs by the Company:

Subject for Review	Indicate whether review was undertaken by Director / Committee of the Board/ Any other Committee									Frequency (Annually/ Half yearly/ Quarterly/ Any other – please specify)								
	P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9	P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9
Performance against above policies and follow up action	Yes. The ESG Committee, concerned Committees and Board reviews the performance against all policies under all 9 principles.									The policies of the Company are reviewed periodically/annually, as the need may be.								
Compliance with statutory requirements of relevance to the principles, and, rectification of any non-compliances	The Company complies with the extant regulations and principles as are applicable. Except for the penalty mentioned in Principle 1, there were no material non-compliances with respect to statutory / regulatory requirements.																	
11. Has the entity carried out independent assessment/ evaluation of the working of its policies by an external agency? (Yes/No). If yes, provide name of the agency.										P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9
										All policies and processes are subject to audits / reviews done internally in the Company from time to time.								

12. If answer to question (1) above is "No" i.e. not all Principles are covered by a policy, reasons to be stated:
Not applicable

PRINCIPLE 1



Businesses should conduct and govern themselves with integrity, and in a manner that is Ethical, Transparent and Accountable.

Essential Indicators

1. Percentage coverage by training and awareness programmes on any of the Principles during the financial year:

Segment	Total number of training and awareness programmes held	Topics/principles covered under the training and its impact	%age of persons in respective category covered by the awareness programmes
Board of Directors	1	Role of Audit Committee Good governance practices Sustainability practices Cyber security	100%
Key Managerial Personnel	1	Role of Audit Committee Good governance practices Sustainability practices Cyber security	100%
	8 modules have been assigned in the form of self-paced learning videos in the learning portal Moneyversity.	AML, POSH, Data Privacy, Information and Cyber Security, ESG, BRSR, BCMS, Prevention of Insider Trading	100%
Employees other than BoD and KMPs	8 modules have been assigned to employees (on- roll) in the form of self- paced learning videos in the learning portal Moneyversity. 5 online sessions have been conducted for off- roll employees on the ZOOM platform.	AML	96%
		POSH	96%
		Data Privacy	95%
		Information and Cyber Security	95%
		ESG	95%
		BRSR	96%
		BCMS	96%
		Prevention of Insider Trading	95%

AML – Anti Money Laundering

POSH – Prevention of Sexual Harassment

ESG – Environment, Social & Governance

BRSR – Business Responsibility & Sustainability Reporting

BCMS – Business Continuity Management System

Pursuant to Regulations 25 (7) and 46 of SEBI Listing Regulations, the Company had implemented a structured familiarization program for its Independent Directors. The Board members were familiarized with their roles, rights and responsibilities in the Company, as well as, with the nature of industry and business model of the Company at the time of their appointment as a Director. In addition, periodic presentations were made during the Board and Committee meetings apprising the Directors on various matters, inter-alia, including updates on the business and operations of the Company and its major subsidiaries, industry and regulatory changes, strategic initiatives, financial performance, risk management framework, ESG practices, and the statutory duties of Independent Directors and other relevant matters.

At IIFL Capital, employee training and development is an ongoing, cyclical process. We utilize various channels such as instructor led training programs, learning management system, emails, posters, and other internal communication methods to deliver diverse and relevant training topics.

These training modules are not only disseminated through regular channels but are also integrated into our Annual Compliance Modules. These modules, presented in the form of interactive videos, ensure that all employees receive comprehensive training throughout the financial year, fostering continuous growth and skill enhancement across the organization.

Also, as a part of our onboarding and induction process, we intend to educate employees on mandatory compliance modules as mentioned above.

2. Details of fines / penalties / punishment / award / compounding fees / settlement amount paid in proceedings (by the entity or by directors / KMPs) with regulators / law enforcement agencies / judicial institutions, in the financial year, in the following format (Note: the entity shall make disclosures on the basis of materiality as specified in Regulation 30 of SEBI (Listing Obligations and Disclosure Obligations) Regulations, 2015 and as disclosed on the entity's website):

Monetary					
	NGRBC Principle	Name of the regulatory / enforcement agencies / judicial institutions	Amount (In INR)	Brief of the Case	Has an appeal been preferred (Yes/No)
Penalty/ Fine	Principle 1	SEBI	3,00,000	Securities and Exchange Board of India (SEBI) had conducted an examination of the Company's role in uploading incorrect Unique Client Code (UCC) data, including Sikkim based clients, on Multi Commodity Exchange of India Ltd (MCX) platform during the period from July 01, 2020 to June 30, 2022. The Company was found to have violated provisions of Clauses A(1), A(2) and A(5) of Code of Conduct under Schedule II, read with Regulation 9(f) of the Securities and Exchange Board of India (Stock Brokers) Regulations, 1992. Further, pursuant to SEBI Adjudication Order No. Order/BM/DS/2024-25/30602, dated July 30, 2024, Adjudicating officer imposed penalty of Rs. 3,00,000/- under Section 15HB of Securities Exchange Board of India Act, 1992 which the Company has duly paid.	No
Penalty/ Fine	Principle 1	SEBI	11,00,000	In the matter of various inspections conducted for the period beginning April 01, 2022 to July 31, 2022, pursuant to SEBI Adjudication Order No. Order/BM/JR/2024-25/30665 dated August 21, 2024, the Adjudicating officer of SEBI held that the Company has violated provisions of SEBI (Stock Broker) Regulations, 1992 ("Brokers Regulations") and various circulars issued therein. A penalty of Rs. 11,00,000/- was imposed under Section 15HB of Securities Exchange Board of India Act, 1992 and Section 23H of the Securities Contracts (Regulation) Act, 1956, which the Company has duly paid.	No
Settlement Compounding fee				Not Applicable	

Non-Monetary				
	NGRBC Principle	Name of the regulatory/enforcement agencies/ judicial institutions	Brief of the Case	Has an appeal been preferred? (Yes/No)
Imprisonment Punishment		Not Applicable		

3. Of the instances disclosed in Question 2 above, details of the Appeal/ Revision preferred in cases where monetary or non-monetary action has been appealed.

Case details	Name of the regulatory/enforcement agencies/judicial institutions
	Not Applicable

4. Does the entity have an anti-corruption or anti-bribery policy? If yes, provide details in brief and if available, provide a web-link to the policy.

Yes. The Company has a well-defined Anti-Bribery and Anti-Corruption Policy which sets out the Company's responsibilities, and those working for and on its behalf, in observing and upholding its position on bribery and corruption in their dealings. This Policy applies to all stakeholders, or any other person associated with IIFL Capital and who may be acting on behalf of the Company. The Policy, inter alia, provides for maintenance of books and accounts that conform to highest professional standards of accuracy and consistency that fairly reflect the Company's transactions. It also provides for maintenance of internal controls to prevent and detect potential violation of the Policy. Further, the Policy sets out the process for reporting a concern or complaint under the said Policy and the manner of dealing with the same. It also lays down the responsibilities of respective stakeholders under the Policy for its effective implementation. The Audit Committee is responsible for ensuring that this Policy complies with the Company's legal and ethical obligations, and that the employees are aware of and comply with it through regularly scheduled mandatory training and appropriate systems and controls. The Policy is available on the Company's website, here

5. Number of Directors/KMPs/employees/workers against whom disciplinary action was taken by any law enforcement agency for the charges of bribery/ corruption:

	FY 2024-25 (Current Financial Year)	FY 2023-24 (Previous Financial Year)
Directors	NIL	NIL
KMPs	NIL	NIL
Employees	NIL	NIL

6. Details of complaints with regard to conflict of interest:

	FY 2024-25 (Current Financial Year)		FY 2023-24 (Previous Financial Year)	
	Number	Remarks	Number	Remarks
Number of complaints received in relation to issues of Conflict of Interest of the Directors	NIL	NA	NIL	NA
Number of complaints received in relation to issues of Conflict of Interest of the KMPs	NIL	NA	NIL	NA

7. Provide details of any corrective action taken or underway on issues related to fines / penalties / action taken by regulators/ law enforcement agencies/ judicial institutions, on cases of corruption and conflicts of interest.

Not applicable

8. Number of days of accounts payables ((Accounts payable *365) / Cost of goods/services procured) in the following format:

	FY 2024-25 (Current Financial Year)	FY 2023-24 (Previous Financial Year)
Number of days of accounts payable	30	37

9. Open-ness of business

Provide details of concentration of purchases and sales with trading houses, dealers, and related parties along-with loans and advances & investments, with related parties, in the following format:

Parameter	Metrics	FY 2024-25 (Current Financial Year)	FY 2023-24 (Previous Financial Year)
Concentration of Purchases	a. Purchases from trading houses as % of total purchases	NA	NA
	b. Number of trading houses where purchases are made from	NA	NA
	a. Purchases from top 10 trading houses as % of total purchases from trading houses	NA	NA
Concentration of Sales	a. Sales to dealers /distributors as % of total sales	19.30%	Not reported
	b. Number of dealers / distributors to whom sales are made	3,963	
	c. Sales to top 10 dealers / distributors as % of total sales to dealers / distributors	19.41	
Share of RPTs in	a. Purchases (Purchases with related parties / Total Purchases)	3.37%	9.04%
	b. Sales (Sales to related parties / Total Sales)	1.04%	3.16%
	c. Loans & advances (Loans & advances given to related parties / Total loans & advances)	0.39%	4.13%
	d. Investments (Investments in related parties / Total Investments made)	16.03%	35.83%

Leadership Indicators

1. Awareness programmes conducted for value chain partners on any of the Principles during the financial year:

Total number of awareness programmes held	Topic/Principles covered under the training	%age of value chain partners covered (by value of business done with such partners) under the awareness programmes
The Company has conducted approximately 225 webinars in FY 2024-25. These webinars were on product knowledge & different processes in which our partners were asked to avoid sharing any misleading information to end clients. Further, they were also instructed to strictly follow all compliance while placing trades on behalf of clients & also communicating information related to any products.		

2. Does the entity have processes in place to avoid/ manage conflict of interests involving members of the Board? (Yes/No) If Yes, provide details of the same.

Yes. The Company has Conflict of Interest Policy for Board of Directors. The Company also has a Policy on Conflict of Interest to identify and manage conflicts of interest which may arise during the course of its business activities.

Further, the Directors, on an annual basis, provide a disclosure of his/her concern or interest in any company or companies or bodies corporate, firms, or other association of individuals.

In order to manage conflict of interest the Company has adopted a strong corporate governance framework with more than 50% of the Board Members being independent. Also, the Board Committees generally comprise a majority of Independent Directors and are chaired by an Independent Director.

The Company has a separate Code of Conduct (CoC) for the Board of Directors and Senior Management Personnel whereby they are required to maintain standards of conduct and become aware of those situations where there is likely to be a potential conflict between the interest of the Company and interest of the Director / Senior Management. Further, Directors do not participate in discussion of matters where they are interested.

PRINCIPLE 2



Businesses should provide goods and services in a manner that is sustainable and safe.

Essential Indicators

- 1. Percentage of R&D and capital expenditure (capex) investments in specific technologies to improve the environmental and social impacts of product and processes to total R&D and capex investments made by the entity, respectively.**

	FY 2024-25 (Current Financial Year)	FY 2023-24 (Previous Financial Year)	Details of improvements in environmental and social impacts
R&D	Given nature of our business, investments into technologies that improve the environment and social impacts of products and processes are directly not applicable.		
Capex			

Given nature of our business, investments into technologies that improve the environment and social impacts of products and processes are directly not applicable.

- 2. a. Does the entity have procedures in place for sustainable sourcing? (Yes/No)**

The core business operations of IIFL Capital is primarily focused on providing financial products and services, leading to limited resource consumption. Therefore the applicability of sustainable procurement practices is limited. Also the Company actively supports and promotes small and medium-sized enterprises (MSMEs) across the country by engaging them through its procurement processes. We have an Environmental Policy which provides that the Company will promote responsible sourcing, wherever possible and within reasonable cost boundaries, across its supply chain.

- b. If yes, what percentage of inputs were sourced sustainably?**

Not Applicable

- 3. Describe the processes in place to safely reclaim your products for reusing, recycling and disposing at the end of life, for**

- a. Plastics (including packaging)**
- b. E-waste**
- c. Hazardous waste and**
- d. Other waste**

IIFL Capital does not offer physical products in the normal course of its operations; therefore, product reclamation is not applicable given the nature of the business.

- 4. Whether Extended Producer Responsibility (EPR) is applicable to the entity's activities (Yes / No). If yes, whether the waste collection plan is in line with the Extended Producer Responsibility (EPR) plan submitted to Pollution Control Boards? If not, provide steps taken to address the same.**

Given the nature of the Company's business, the above is not applicable.

Leadership Indicators

1. Has the entity conducted Life Cycle Perspective / Assessments (LCA) for any of its products (for manufacturing industry) or for its services (for service industry)? If yes, provide details in the following format?

NIC Code	Name of Product / Service	% of total Turnover contributed	Boundary for which the Life Cycle Perspective / Assessment was conducted	Whether conducted by independent external agency (Yes/No)	Results communicated in public domain (Yes/No) If yes, provide the web-link.
Given the nature of our business and operations, such assessments are not applicable.					

2. If there are any significant social or environmental concerns and/or risks arising from production or disposal of your products / services, as identified in the Life Cycle Perspective / Assessments (LCA) or through any other means, briefly describe the same along with action taken to mitigate the same.

Name of Product / Service	Description of the risk / concern	Action Taken
Given the nature of our business and operations, such assessments are not applicable.		

3. Percentage of recycled or reused input material to total material (by value) used in production (for manufacturing industry) or providing services (for service industry).

Indicate input material	Recycled or re-used input material to total material	
	FY 2024-25 (Current Financial Year)	FY 2023-24 (Previous Financial Year)
Given the nature of our business operations, the use of recycled or reused input material in our service offerings is not applicable		

4. Of the products and packaging reclaimed at end of life of products, amount (in metric tonnes) reused, recycled, and safely disposed, as per the following format:

	FY 2024-25 (Current Financial Year)			FY 2023-24 (Previous Financial Year)		
	Re-Used	Recycled	Safely Disposed	Re-Used	Recycled	Safely Disposed
Plastics (including packaging) E-waste Hazardous waste Other waste	Given the nature of our business operations, reclaiming of products and packaging is not applicable.					

5. Reclaimed products and their packaging materials (as percentage of products sold) for each product category.

Indicate product category	Reclaimed products and their packaging materials as % of total products sold in respective category
Given the nature of our business operations, reclaiming of products and packaging is not applicable.	

PRINCIPLE 3



Businesses should respect and promote the well-being of all employees, including those in their value chains

Essential Indicators

1. a. Details of measures for the well-being of employees:

Category	% of employees covered by										
	Total (A)	Health insurance		Accident insurance		Maternity benefits		Paternity Benefits		Day Care	
		Number (B)	% (B / A)	Number (C)	% (C / A)	Number (D)	% (D / A)	Number (E)	% (E /A)	Number (F)	% (F / A)
Permanent employees											
Male	1191	1191	100	1191	100	NA	NA	1191	100	1191	100
Female	367	367	100	367	100	367	100	NA	NA	367	100
Total	1558	1558	100	1558	100	367	23.56	1191	76.44	1558	100
Other than Permanent employees											
Male	14	Not Applicable									
Female	7	Not Applicable									
Total	21	Not Applicable									

Note: In addition to providing a safe and supportive work environment, the Company goes the extra mile to ensure the wellbeing of its employees extends beyond the workplace.

We understand the importance of financial security for our employees and their families. Therefore, the Company extends life insurance and Employees' Deposit Linked Insurance Scheme for Provident Fund opted employees, providing essential support in times of need.

Recognizing the diverse needs of our workforce, especially women, the Company offers a range of supportive policies. These include maternity policies, adoption leaves, and compassionate leaves for medical reasons related to pregnancy. We understand the significance of enabling women to maintain a balance between their professional and personal lives at various life stages. The Company has a comprehensive parental leave policy designed to support employees during crucial life stages and promote work-life balance.

Moreover, we understand the challenges working parents face, which is why we have partnered with a crèche providing agency to offer childcare facilities for employees with children aged up to six years. This initiative aims to support working parents by providing a nurturing environment for their children while they focus on their professional responsibilities.

Furthermore, the Company prioritizes mental well-being by providing each employee access to counseling services and mental health experts. We conduct timely webinars on mental health topics to raise awareness and provide support to our employees.

Encouraging a healthy lifestyle, the Company actively supports employees' participation in marathons, promoting physical fitness and team bonding.

Through these initiatives, the Company reaffirms its commitment to the holistic well-being and development of its employees, fostering a supportive and inclusive workplace culture.

b. Details of measures for the well-being of workers:

Not Applicable

c. Spending on measures towards well-being of employees and workers (including permanent and other than permanent) in the following format –

	FY 2024-25 (Current Financial Year)	FY 2023-24 (Previous Financial Year)
Cost incurred on well- being measures as a % of total revenue of the company	0.17%	0.25%

2. Details of retirement benefits, for Current FY and Previous Financial Year.

Benefits	FY 2024-25 Current Financial Year			FY 2023-24 Previous Financial Year		
	No. of employees covered as a % of total employees	No. of workers covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)	No. of employees covered as a % of total employees	No. of workers covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)
PF	100	NA	Y	100	NA	Y
Gratuity	100	NA	NA	100	NA	NA
ESI	100	NA	Y	100	NA	Y
Others – please specify	-	-	-	-	-	-

3. Accessibility of workplaces

Are the premises / offices of the entity accessible to differently abled employees and workers, as per the requirements of the Rights of Persons with Disabilities Act, 2016? If not, whether any steps are being taken by the entity in this regard.

The Company is firmly committed to upholding equality and human rights for all individuals, including those with disabilities. Our Equal Opportunity Policy and Human Rights Policy strictly prohibit any form of discrimination in employment matters against persons with disabilities.

To ensure inclusivity and accessibility, our large corporate offices are equipped with ramps and wheelchair accessibility features. These accommodations facilitate easy movement and create a welcoming environment for differently-abled individuals, aligning with our values of diversity and inclusivity in the workplace.

Further, we foster an inclusive environment where everyone feels valued and supported.

4. Does the entity have an equal opportunity policy as per the Rights of Persons with Disabilities Act, 2016? If so, provide a web-link to the policy.

IIFL Capital has adopted the Equal Opportunity Policy in accordance of the Rights of Persons with Disabilities Act, 2016. The Policy can be accessed here.

5. Return to work and Retention rates of permanent employees and workers that took parental leave.

Gender	Permanent employees		Permanent workers	
	Return to work rate	Retention rate	Return to work rate	Retention rate
Male	100	91	NA	NA
Female	100	100	NA	NA

Note: Retention rate determines employees who have returned to work after parental leave ended and were still employed 12 months later

6. Is there a mechanism available to receive and redress grievances for the following categories of employees and worker? If yes, give details of the mechanism in brief.

	Yes/No (If Yes, then give details of the mechanism in brief)
Permanent Workers	NA
Other than Permanent Workers	NA
Permanent Employees	Yes
Other than Permanent Employees	Yes

We have a robust Employee Grievance Redressal Policy, providing a transparent platform for employees to address concerns falling within the scope of our welfare policies. These include our Human Rights Policy, Diversity and Inclusion Policy, Equal Opportunity Policy, and Workplace Health and Safety Policy. Employees can easily raise grievances by either emailing at grievance@iiflcapital.com or addressing a letter to the Head of Human Resources for prompt resolution.

In line with our commitment to fostering a safe and respectful workplace, the Company maintains a zero-tolerance policy towards harassment and discrimination. Our Policy for Prevention of Sexual Harassment at Workplace, aligned with the Sexual Harassment of Women at Workplace Act, 2013, aims to provide protection and redressal for complaints of sexual

harassment. Employees can report grievances related to sexual harassment by emailing at posh@iiflcapital.com, with an Internal Complaints Committee dedicated to investigation and resolution.

Furthermore, our Whistleblower Policy serves as a vigilant mechanism for stakeholders, including individual employees, to report unethical or unlawful practices. Employees are encouraged to communicate concerns regarding illegal or unethical behaviour by emailing at iiflcapwhistleblower@iiflcapital.com. In exceptional cases, direct access to the Chairman of the Audit Committee is provided to ensure the integrity of the reporting process.

To ensure widespread awareness and understanding of our policies, regular communication and awareness campaigns are conducted through various employee channels such as the intranet, mailers, and WhatsApp campaigns. These initiatives aim to empower employees with knowledge and resources to uphold our shared values of integrity, respect, and accountability in the workplace.

7. Membership of employees and worker in association(s) or Unions recognised by the listed entity:

Benefits	FY 2024-25 Current Financial Year			FY 2023-24 Previous Financial Year		
	Total employees / workers in respective category (A)	No. of employees / workers in respective category, who are part of association(s) or Union (B)	% (B / A)	Total employees / workers in respective category (C)	No. of employees / workers in respective category, who are part of association(s) or Union (D)	% (D / C)
Total Permanent Employees						
- Male	1191	0	0	1152	0	0
- Female	367	0	0	334	0	0

While IIFL Capital does not have any employee association, the Company acknowledges and respects employees' rights to freedom of association. Additionally, the Company encourages open communication and direct interaction between management and employees, fostering a positive and healthy work environment.

8. Details of training given to employees and workers:

Category	FY 2024-25 Current Financial Year					FY 2023-24 Previous Financial Year				
	Total (A)	On Health and safety measures		On Skill upgradation		Total (D)	On Health and safety measures		On Skill upgradation	
		No. (B)	% (B / A)	No. (C)	% (C / A)		No. (E)	% (E / D)	No. (F)	% (F / D)
Employees										
Male	1191	1191	100	1191	100	1152	1152	100	1152	100
Female	367	367	100	367	100	334	334	100	334	100
Total	1558	1558	100	1558	100	1486	1486	100	1486	100

The Company is dedicated to upskill and enable the employees through continuous learning and development initiatives. Throughout the year, we have organized a diverse range of skill-upgradation programs tailored to various roles and levels within the organization while placing equal weightage for our mandatory compliance based training programs as well.

Our collaboration with leading institutes like NSE has resulted in Leadership Development programs aimed at empowering first time managers and people managers to excel in team management, fostering effective leadership skills throughout the Organization.

To cater to the varied learning needs of our workforce, we have developed inhouse content covering a wide spectrum of topics, including interpersonal skills, communication, team management, and functional skills related to excel and time management. These self-paced resources are readily accessible on Moneyversity, allowing employees at all levels, from relationship managers to leaders, to enhance their skills at their own convenience.

Recognizing the importance of professional appearance and effective communication, in-person workshops on Grooming have been conducted for the sales teams.. These workshops equip employees with enhanced skills to collaborate effectively, particularly with our HNI clients.

Additionally, our monthly Induction (Shubharambh) provide valuable opportunities for product leads to discuss products and unique selling propositions (USPs) with the sales teams. Moreover, Dip-sticks and assessments, in the form of Flavour Of The Month (FOTM), are scheduled to gauge the knowledge level of employees and drive continuous improvement.

9. Details of performance and career development reviews of employees and worker:

Category	FY 2024-25 Current Financial Year			FY 2023-24 Previous Financial Year		
	Total (A)	No. (B)	% (B / A)	Total (C)	No. (D)	% (D / C)
Employees						
Male	1191	1191	100	1152	1152	100
Female	367	367	100	334	334	100
Total	1558	1558	100	1486	1486	100

The Organization prioritizes the professional growth and career development of our employees through a structured performance appraisal process. This process, determined by the Company, ensures that all eligible employees undergo evaluation to assess their performance and progress.

Career development opportunities are abundant, with a mix of trainings, opportunities for advancement to higher roles, lateral movement, and job enhancements. We believe in providing our employees with a variety of paths to grow and excel within the Organization.

Our performance management process is meticulously structured to align with our Key Performance Indicators (KPIs). This ensures that employee efforts are directed towards achieving strategic objectives, contributing to the overall success of the Organization.

Through these initiatives, we strive to empower our employees to reach their full potential, driving both individual and Organizational growth.

10. Health and safety management system:**a. Whether an occupational health and safety management system has been implemented by the entity? (Yes/ No). If yes, the coverage such system?**

As a financial services company, we prioritize the safety and well-being of our employees. While our industry poses minimal occupational health and safety risks, we remain committed to providing a safe and healthy workplace environment, adhering to all relevant laws and regulations. To reinforce this commitment, we have established a comprehensive Policy on Health and Safety at the Workplace.

Periodic training sessions on fire safety and evacuation drills are conducted for all employees, with nominated fire marshals appointed across the Organization to ensure preparedness in case of emergencies.

Our dedication to employee well-being extends beyond physical safety to encompass their emotional and mental health. We have partnered with YOURDOST to provide confidential counseling services and access to mental health experts, empowering employees to seek support whenever needed. We actively encourage our teams to prioritize their mental well-being and make use of these expert-led resources.

In addition, we continue to enhance physical wellness at the workplace through initiatives like Doc@Work and Dental Check-Up camps. These on-site medical check-ups not only promote preventive health but also make expert healthcare more accessible for our teams during their busy workday schedules.

We also prioritize comprehensive coverage for our employees through enhanced benefits such as Group Term Insurance and Personal Accident Insurance, ensuring protection for both employees and their dependents.

Through these initiatives, we demonstrate our unwavering commitment to fostering a safe, healthy, and supportive workplace, where employee well-being—physical, mental, and emotional—remains a top priority.

b. What are the processes used to identify work-related hazards and assess risks on a routine and non-routine basis by the entity?

Being a financial services company, the employees work in a low-risk environment and are not potentially exposed to any significant occupation workplace hazards. Nevertheless, IIFL Capital strives to create a conducive workplace, free of hazards and promote the health and wellbeing of its employees.

c. Whether you have processes for workers to report the work related hazards and to remove themselves from such risks. (Y/N)

Yes. Any complaints under Workplace Health & Safety Policy shall be directed to Head – Human Resource / Head - Admin of the Company.

d. Do the employees/ worker of the entity have access to non-occupational medical and healthcare services? (Yes/No)

Yes. The Organisation has insured its employees under the group term insurance, health insurance and accidental insurance Policies.

11. Details of safety related incidents, in the following format:

Safety Incident/Number	Category*	FY 2024-25 (Current Financial Year)	FY 2023-24 (Previous Financial Year)
Lost Time Injury Frequency Rate (LTIFR) (per one million-person hours worked)	Employees	NIL	NIL
	Workers	NA	NA
Total recordable work-related injuries	Employees	NIL	NIL
	Workers	NA	NA
No. of fatalities	Employees	NIL	NIL
	Workers	NA	NA
High consequence work-related injury or ill-health (excluding fatalities)	Employees	NIL	NIL
	Workers	NA	NA

*Including in the contract workforce

12. Describe the measures taken by the entity to ensure a safe and healthy work place.

The Company remains steadfast in its commitment to fostering a safe and healthy workplace, free of hazards, and prioritizing the well-being of its employees. Our employees operate in a low-risk environment, minimizing exposure to significant occupational hazards.

To uphold this commitment, we have implemented a comprehensive Policy on Workplace Health and Safety, ensuring compliance with relevant laws and regulations while providing a conducive work environment for our people.

Regular training sessions on fire safety and evacuation drills are conducted for employees, with designated fire marshals appointed across the organization to ensure preparedness in case of emergencies. Additionally, we ensure the availability of fully filled fire extinguishers and conduct frequent equipment checks to mitigate any wear and tear due to continued use, such as air conditioners.

Furthermore, the Company invests in the well-being of its employees by offering on-call doctor services and providing wheelchair facilities at major offices. Our recent Doc@Work and Dental Check-Up camps brought preventive care right to the workplace, allowing employees to access expert consultations conveniently. Employee well-being initiatives are regularly introduced to promote physical and mental health, with timely nudges through mailers encouraging employees to utilize these benefits effectively. The Company had organised a free health check up drive for wellbeing of its employees.

To address mental stress and anxiety, the Company has partnered with YOURDOST to provide mental well-being support, offering employees access to counseling services and programs designed to help cope with various challenges.

In line with promoting a healthy lifestyle, the Company encourages participation in marathons.

13. Number of Complaints on the following made by employees and workers:

Benefits	FY 2024-25 Current Financial Year			FY 2023-24 Previous Financial Year		
	Filed during the year	Pending resolution at the end of year	Remarks	Filed during the year	Pending resolution at the end of year	Remarks
Working Conditions	NIL	NIL	-	NIL	NIL	-
Health & Safety	NIL	NIL	-	NIL	NIL	-

14. Assessments for the year:

	% of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Health and safety practices Working Conditions	All our offices are internally assessed periodically through internal audits for various aspects of health and safety measures and related working condition

15. Provide details of any corrective action taken or underway to address safety-related incidents (if any) and on significant risks / concerns arising from assessments of health & safety practices and working conditions. NIL**Leadership Indicators****1. Does the entity extend any life insurance or any compensatory package in the event of death of (A) Employees (Y/N) (B) Workers (Y/N).**

Yes. The Company provides comprehensive support to employees' families in the unfortunate event of an employee's death. This includes Group Term cover, Group Personal Accident cover, and Retiral benefits. Even if the employee had not completed five years of continuous service with the Company, gratuity is paid to the family. Furthermore, in the event of death or permanent incapacity while in employment, all options granted to the eligible employee are vested in them on that day.

2. Provide the measures undertaken by the entity to ensure that statutory dues have been deducted and deposited by the value chain partners.

The Company makes payment for the statutory dues like GST to the value chain partners (vendors) upon verification from the Government database that the same has been deposited by the concerned value chain partner. The Company has internal audit policies and procedures to ensure the above.

3. Provide the number of employees / workers having suffered high consequence work- related injury / ill-health / fatalities (as reported in Q11 of Essential Indicators above), who have been are rehabilitated and placed in suitable employment or whose family members have been placed in suitable employment:

	Total no. of affected employees/ workers		No. of employees/workers that are rehabilitated and placed in suitable employment or whose family members have been placed in suitable employment	
	FY 2024-25 (Current Financial Year)	FY 2023-24 (Previous Financial Year)	FY 2024-25 (Current Financial Year)	FY 2023-24 (Previous Financial Year)
Employees	NA	NA	NA	NA

4. Does the entity provide transition assistance programs to facilitate continued employability and the management of career endings resulting from retirement or termination of employment? (Yes/ No)

IIFL Capital has a retirement process in place which aims to define terms of retirement for employees. The Company during the course of employment provides opportunities for all employees to upskill themselves through domain, skill and leadership training and help them stay ahead of latest trends. With such training, most employees are skilled and tend to be employable.

5. Details on assessment of value chain partners:

NIL

6. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from assessments of health and safety practices and working conditions of value chain partners.

NIL

PRINCIPLE 4



Businesses should respect the interests of and be responsive to all its stakeholders

Essential Indicators

1. Describe the processes for identifying key stakeholder groups of the entity.

ESG Team interacts with all functional heads to understand the activities and processes undertaken in relation to the business and the stakeholders involved. After detailed discussion, the key stakeholders of the Company are identified based on the significance of their impact on the business and the impact of the business on them.

2. List stakeholder groups identified as key for your entity and the frequency of engagement with each stakeholder group.

The concerned team interact closely with their respective stakeholders throughout the year to understand their needs and concerns. These conversations provide valuable feedback and an outside-in perspective of our business. The insights are considered, while making important decisions across our businesses.

Stakeholder interactions might be structured or unstructured. Based on mutual convenience and need, the engagement maybe scheduled as needed, or pre-scheduled on a periodic basis (fortnightly/ monthly/ quarterly/ annual) or continuous (e.g. website, social media).

Stakeholder Group	Whether identified as Vulnerable & Marginalised Group (Yes/No)	Channels of communication (Email, SMS, Newspaper, Pamphlets, Advertisement, Community Meetings, Notice Board, Website), Other	Frequency of engagement (Annually/ Half yearly/ Quarterly/ others – please specify)	Purpose and scope of engagement including key topics and concerns raised during such engagement
Customers	No	- Corporate website - Toll-free number - Digital platforms - Social media - Customer relationship managers - Customer satisfaction surveys - Media campaigns & Advertising - Knowledge seminars & events - Email	- Daily - Weekly - Monthly - Annually	To get an update on their experience working with us, their evolving needs of financial/investing solutions and to address their grievances. Matters important to them include: - Trust - Data & cyber security - Quality of customer service - Investment in new technologies
Business Partners & Vendors	No	- One-to-one meeting with the top management - Product/process trainings for new and old partners - Industry Speak and Product Team Webinars for product updates - Channel partner meets - Conferences and Forums - Written communications	- Daily - Weekly - Monthly - Annually	To drive awareness about relevant, new and existing offerings of our Company. To align their business objectives with that of our Company and address their grievances. Matters important to them include: - Maintaining relationships - Growth opportunities - Quick and efficient payments - Quick response to queries
Employees	No	- Review meets - Town halls - Employee surveys - Learning & Development initiatives - Portals - Discussion with senior leaders - Engagement initiatives/ offsites	- Daily - Weekly - Monthly - Annually	To further strengthen our employee value proposition, employee retention and identify their needs (skill development, work-life balance, etc.) for their professional growth. Matters important to them include: - Training & development - Grievance redressal - Reward & Recognition - Employee engagement activities - Career progression

Stakeholder Group	Whether identified as Vulnerable & Marginalised Group (Yes/No)	Channels of communication (Email, SMS, Newspaper, Pamphlets, Advertisement, Community Meetings, Notice Board, Website), Other	Frequency of engagement (Annually/ Half yearly/ Quarterly/ others – please specify)	Purpose and scope of engagement including key topics and concerns raised during such engagement
Rating Agencies & Lenders	No	• Presentations & written communications • Meetings on strategy, financial plans, risk management, & other business related updates	• Event-based	To update them about the Company's performance, take their inputs on maintaining our credit rating. Matters important to them include: • Liquidity and risk management, and risk mitigation strategies • Growth plans
Government & Regulatory bodies	No	• Industry associations • Written Communications • One-to-one meetings • Mailers/representation • Regulatory Audit • Policy Advocacy	• Weekly • Annually • Event-based	To stay updated about new and implement emerging regulations. To provide updates on regulatory compliances applicable to us. Matters important to them include: • Ethical practices • Regulatory compliance • Market credibility • Policy Advocacy • Industry discussions
Shareholders & Investors	No	• Annual General Meetings • Roadshows/Sector specific conferences • Investor and Analyst meets, Conference calls • Annual Reports • Investor Presentations, Quarterly Earnings Update, Company announcements • Company website • Media Releases	• Quarterly • Half-yearly • Annually • Event-based	To update them about the financial and operational performance of the Company. To respond to their queries and concerns. Matters important to them include: • Brand reputation and trust • Strong, consistent financial performance • Share price performance & dividend payment • Strong risk management mechanism • Business strategy • Governance, ethics & transparency
Communities	Yes	• CSR initiatives • Empowerment programs	• Daily • Weekly • Annually	To implement programs aimed at driving welfare, inclusive growth and equitable development of the marginalized sections within our communities. To understand their needs and initiate programs, wherever feasible. Matters important to them include: • Social & Educational empowerment/ Health/ Livelihood • Monitor, review and reporting of activities

Leadership Indicators

1. Provide the processes for consultation between stakeholders and the Board on economic, environmental, and social topics or if consultation is delegated, how is feedback from such consultations provided to the Board.

Concerned teams, namely CSR (communities), Marketing (customers), HR (employees), Compliance (Regulators), Finance & Accounts, etc. interact with their respective stakeholder groups on a constant basis. The concerned teams present the key feedback received from stakeholders to the ESG Team. The ESG Committee at its meeting considers the same and presents it to the Board. Requisite actions are taken after receiving proper feedback/guidance from the Board/Board-level committee. Such an approach of continuous engagement helps align expectations, thereby enabling us to better serve our stakeholders.

2. Whether stakeholder consultation is used to support the identification and management of environmental, and social topics (Yes / No). If so, provide details of instances as to how the inputs received from stakeholders on these topics were incorporated into policies and activities of the entity.

Yes. In FY 2024-25, the Company engaged with PwC to conduct a stakeholder engagement and materiality assessment to understand their concerns and feedback across key material issues. Post the assessment, various environmental and social issues were identified by the Company in consultation with the ESG Committee and the Board.

During the year, the Company voluntarily carried out limited assurance by an independent firm, Lodha & Co. LLP (assurance provider) for BRSR Core. During their limited assurance process, the assurance provider conducted stakeholder interviews, validated assumptions and estimations used for reporting purpose, conducted sample data testing and reviewed policies. On the completion of the same, recommendations were made by the assurance provider to the Company for enhancement of ESG practices. The same are being implemented.

Further, during FY 2024-25, the Company had undertaken ISO 14001:2015 Certification for Environmental Management Systems. During the process, the Policies and practices pertaining to environment management were reviewed and amended appropriately wherever required.

3. Provide details of instances of engagement with, and actions taken to, address the concerns of vulnerable/ marginalized stakeholder groups.

IIFL Capital through IIFL Foundation, undertakes need-based projects to promote all-round wellness and development of our communities.

Few of them are mentioned below:

- Building foundational literacy of girls native to Scheduled Tribe and Scheduled caste communities in Rajasthan, through the flagship project – Sakhiyon Ki Baadi;
- Retail Sales Associate Training programme for youths in the aspirational district of Kupwara, Kashmir, helping the vulnerable community to acquire skills and secure livelihood.
- Construction of a Government School at Baran, an Aspirational District, Rajasthan.
- Skill building and Livelihood Programme for Rag Pickers

Note: In an average 90% of beneficiaries from the CSR activities undertaken by the Company during FY 2024-25 were from marginalised & disadvantaged groups. For details of projects, refer 'Communities' under 'ESG Overview' of Narrative Section.

PRINCIPLE 5



Businesses should respect and promote human rights

Essential Indicators

1. Employees and workers who have been provided training on human rights issues and policy(ies) of the entity, in the following format:

Benefits	FY 2024-25 Current Financial Year			FY 2023-24 Previous Financial Year		
	Total (A)	No. employees / workers covered (B)	% (B / A)	Total (C)	No. employees / workers covered (D)	% (D / C)
Employees						
Permanent	1558	1526	98%	1486	1369	92%
Other permanent than	21	21	100	29	29	100
Total Employees	1579	1547	98%	1515	1398	92.28%

The Company is steadfast in promoting and upholding human rights across its business operations, ensuring nondiscrimination on any basis, including race, color, sex, language, religion, political opinions, national or social origin, property, birth, or other status.

To reinforce this commitment, we have implemented a comprehensive Human Rights Policy, which is disseminated among employees through various channels, including social media and internal communication platforms such as intranets and mailers. The said Policy is also available on Company's website. This ensures awareness and understanding of our stance on human rights throughout the Organization.

Furthermore, we prioritize the prevention of sexual harassment of women at the workplace by conducting mandatory training modules for all employees. This initiative underscores our dedication to fostering a safe and respectful work environment for everyone.

To learn more about our Human Rights Policy, please visit [here](#).

2. Details of minimum wages paid to employees and workers, in the following format:

Category	FY 2024-25 Current Financial Year					FY 2023-24 Previous Financial Year				
	Total (A)	Equal to Minimum Wage		More than Minimum Wage		Total (D)	Equal to Minimum Wage		More than Minimum Wage	
		No. (B)	% (B / A)	No. (C)	% (C / A)		No. (E)	% (E / D)	No. (F)	% (F / D)
Employees										
Permanent	1558	-	-	1558	100	1486	-	-	1486	100
Male	1191	-	-	1191	100	1152	-	-	1152	100
Female	367	-	-	367	100	334	-	-	334	100
Other than Permanent	21	-	-	21	100	29	-	-	29	100
Male	14	-	-	14	100	15	-	-	15	100
Female	7	-	-	7	100	14	-	-	14	100

3. Details of remuneration/salary/wages

a. Median remuneration / wages:

	Male		Female	
	Number	Median remuneration/ salary/ wages of respective category (Rs. in Million)	Number	Median remuneration/ salary/ wages of respective category (Rs. in Million)
Board of Directors (BoD)	6	9.94	1	2.16
Key Managerial Personnel	2	10.92	1	5.05
Employees other than BoD and KMP	1187	1.04	366	0.72

b. Gross wages paid to females as % of total wages paid by the entity, in the following format

	FY 2024-25 (Current Financial Year)	FY 2023-24 (Previous Financial Year)
Gross wages paid to females as % of total wages	10.59%	11%

4. Do you have a focal point (Individual/ Committee) responsible for addressing human rights impacts or issues caused or contributed to by the business? (Yes/No)

Yes. As outlined in the Company's Human Rights Policy, the Head of Human Resources assumes responsibility for addressing any human rights-related concerns that may arise.

Additionally, a dedicated email address is provided for raising complaints under the Policy on Prevention of Sexual Harassment at the Workplace. This ensures a confidential and accessible avenue for employees to report any incidents or concerns.

Furthermore, an Internal Complaints Committee has been constituted under the said Policy to handle and resolve matters in accordance with the Policy. This committee is tasked with ensuring the fair and prompt resolution of issues related to sexual harassment at the workplace.

These measures underscore our commitment to upholding human rights principles and fostering a safe and respectful work environment for all employees.

5. Describe the internal mechanisms in place to redress grievances related to human rights issues.

We have a robust Employee Grievance Redressal Policy, providing a transparent platform for employees to address concerns falling within the scope of our welfare policies. These include our Human Rights Policy, Diversity and Inclusion Policy, Equal Opportunity Policy, and Workplace Health and Safety Policy. Employees can easily raise grievances by either emailing at grievance@iiflcapital.com or addressing a letter to the Head of Human Resources for prompt resolution.

In line with our commitment to fostering a safe and respectful workplace, the Company maintains a zero-tolerance policy towards harassment and discrimination. Our Policy for Prevention of Sexual Harassment at Workplace, aligned with the Sexual Harassment of Women at Workplace Act, 2013, aims to provide protection and redressal for complaints of sexual harassment. Employees can report grievances related to sexual harassment by emailing at posh@iiflcapital.com, with an Internal Complaints Committee dedicated to investigation and resolution.

Furthermore, our Whistleblower Policy serves as a vigilant mechanism for stakeholders, including individual employees, to report unethical or unlawful practices. Employees are encouraged to communicate concerns regarding illegal or unethical behavior by emailing at iiflcapwhistleblower@iiflcapital.com. In exceptional cases, direct access to the Chairman of the Audit Committee is provided to ensure the integrity of the reporting process.

To ensure widespread awareness and understanding of our policies, regular communication and awareness campaigns are conducted through various employee channels such as the intranet, mailers, and WhatsApp campaigns. These initiatives aim to empower employees with knowledge and resources to uphold our shared values of integrity, respect, and accountability in the workplace.

6. Number of Complaints on the following made by employees and workers:

Benefits	FY 2024-25 Current Financial Year			FY 2023-24 Previous Financial Year		
	Total (A)	No. employees / workers covered (B)	% (B / A)	Total (C)	No. employees / workers covered (D)	% (D / C)
Sexual Harassment	2	0	-	0	0	-
Discrimination at workplace	0	0	-	0	0	-
Child Labour	0	0	-	0	0	-
Forced Labour/ Involuntary Labour	0	0	-	0	0	-
Wages	0	0	-	0	0	-
Other human rights related issues	0	0	-	0	0	-

7. Complaints filed under the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013, in the following format:

	FY 2024-25 (Current Financial Year)	FY 2023-24 (Previous Financial Year)
Total Complaints reported under Sexual Harassment on of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 (POSH)	2	NIL
Complaints on POSH as a % of female employees / workers	0.5%	NIL
Complaints on POSH upheld	2	NIL

8. Mechanisms to prevent adverse consequences to the complainant in discrimination and harassment cases.

The Company ensures comprehensive protection against any form of unfair practice, including retaliation, threats, intimidation, or discriminatory behavior towards employees who disclose or raise concerns under the Employee Grievance Redressal Policy or the Prevention of Sexual Harassment at Workplace Policy in good faith.

Employees are safeguarded against adverse actions such as termination, suspension of service, disciplinary measures, transfer, demotion, refusal of promotion, discrimination, harassment, or biased behavior when making disclosures believed to be substantially true and without malicious intent.

Furthermore, grievances reported under the Policy on Prevention of Sexual Harassment at Workplace are handled with the utmost sensitivity and confidentiality, fostering a safe and supportive environment for employees to seek resolution and support.

9. Do human rights requirements form part of your business agreements and contracts? (Yes/No)

Human rights requirements form a part of the Company's business agreements and contracts as and where relevant.

10. Assessments for the year:

	% of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Child labour	The Company internally monitors compliance for all relevant laws and policies pertaining to these issues. There have been no observations by local statutory/third parties in FY 2024-25.
Forced/involuntary labour	
Sexual harassment	
Discrimination at workplace	
Wages	

11. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from the assessments at Question 10 above.

In FY 2024-25, there were no issues identified in relation to above provided list and hence no corrective action was taken.

Leadership Indicators

1. Details of a business process being modified / introduced as a result of addressing human rights grievances/ complaints.

There has been no significant human right grievance/complaints warranting modification of business process.

2. Details of the scope and coverage of any Human rights due-diligence conducted.

At the end of each financial year, the Company conducts comprehensive internal and external HR audits that cover a broad range of operational areas. As part of this process, a structured human rights due-diligence framework is applied to assess our adherence to ethical labor practices and safeguard the rights of our employees.

These audits involve a detailed evaluation of Company's HR policies, procedures, and workplace practices, ensuring alignment with applicable laws and international human rights standards. By embedding human rights assessments into our audit processes, the Company strengthens its commitment to responsible business conduct, transparency, and the creation of a safe and equitable work environment.

3. Is the premise/office of the entity accessible to differently abled visitors, as per the requirements of the Rights of Persons with Disabilities Act, 2016?

To ensure inclusivity and accessibility, our large corporate offices are equipped with ramps and wheelchair accessibility features, facilitating easy movement for differently-abled individuals. This commitment to accessibility underscores our dedication to creating an inclusive and supportive workplace environment for all.

4. Details on assessment of value chain partners:

	% of value chain partners (by value of business done with such partners) that were assessed
Sexual Harassment	In all our dealings, we expect our value chain partners to uphold the same values, beliefs and business ethics as our Company. However, no formal assessment of value chain partners has been conducted.
Discrimination at workplace	
Child Labour	
Forced Labour/Involuntary Labour	
Wages	
Others – please specify	

5. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from the assessments at Question 4 above.

Not Applicable, since there was no assessment conducted.

PRINCIPLE 6



Businesses should respect and make efforts to protect and restore the environment

Essential Indicators

1. Details of total energy consumption (in Joules or multiples) and energy intensity, in the following format:

Parameter	FY 2024-25 (Current Financial Year)	FY 2023-24 (Previous Financial Year)
From renewable sources		
Total electricity consumption (A)	10 GJ	5.60 GJ
Total fuel consumption (B)	-	-
Energy consumption sources (C)	-	-
Total energy consumed from renewable sources (A+B+C)	10 GJ	5.60 GJ
From non-renewable sources		
Total electricity consumption (D)	8,334 GJ	6,710.95 GJ
Total fuel consumption €	325 GJ	229.87
Energy consumption through other sources (F)	-	-
Total energy consumed from non-renewable sources (D+E+F)	8,659 GJ	6,940.82 GJ
Total energy consumed (A+B+C+D+E+F)	8,669 GJ	6,946.42 GJ
Energy intensity per rupee of turnover (Total energy consumed / Revenue from operations)	0.00000042	0.00000037
Energy intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total energy consumed / Revenue from operations adjusted for PPP)	0.00000087	0.00000083
Energy intensity in terms of physical output	NA	NA
Energy intensity (optional) – the relevant metric may be selected by the entity (Total energy consumed/total number of permanent employees)	5.56	4.67

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency. Yes. Limited assurance of BRSR Core has been carried out by Lodha & Co. LLP for FY 2024-25.

Note: Non-renewable energy consumption sources include electricity usage and diesel combustion.

For the purpose of calculation of intensity, adjusted purchasing power parity (PPP), conversion factor @20.66 Rs/USD as per International Monetary Fund (IMF) has been considered.

2. Does the entity have any sites / facilities identified as designated consumers (DCs) under the Performance, Achieve and Trade (PAT) Scheme of the Government of India? (Y/N) If yes, disclose whether targets set under the PAT scheme have been achieved. In case targets have not been achieved, provide the remedial action taken, if any.

Not applicable

3. Provide details of the following disclosures related to water, in the following format:

Parameter	FY 2024-25 (Current Financial Year)	FY 2023-24 (Previous Financial Year)
Water withdrawal by source (in kilolitres)		
(i) Surface water	-	-
(ii) Groundwater	1,190 KL	3,072.99 KL
(iii) Third party water	6,632 KL	3,473.97 KL
(iv) Seawater / desalinated water	-	-
(v) Others	458 KL	416.60 KL

Parameter	FY 2024-25 (Current Financial Year)	FY 2023-24 (Previous Financial Year)
Total volume of water withdrawal (in kilolitres) (i + ii + iii + iv + v)	8,280 KL	6,963.56 KL
Total volume of water consumption (in kilolitres)	8,280 KL	6,963.56 KL
Water intensity per rupee of turnover (Total water consumption / Revenue from operations)	0.00000040	0.00000037
Water intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total water consumption / Revenue from operations adjusted for PPP)	0.00000083	0.00000083
Water intensity in terms of physical output	NA	NA
Water intensity (optional) – the relevant metric may be selected by the entity. (Total volume of water consumed/total number of permanent employees)	5.31	4.69

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency. Yes. Limited assurance of BRSR Core has been carried out by Lodha & Co. LLP for FY 2024-25.

Note: Water is sourced from 4 sources – Municipal water, boring water (Ground water), purchased (bottled) and through rainwater harvesting.

For the FY 2024-25, Water withdrawal is reported based on actual consumption, supported by relevant bills wherever available. In cases where invoices are not available, estimations have been made based on estimate of 20 liters per person per day is based on metered water consumption data from the Thane location. Water consumption is calculated based on the total water usage at each office location, proportionately allocated according to the number of employees at that specific location.

For the purpose of calculation of intensity adjusted purchasing power parity (PPP), conversion factor @20.66 Rs/USD as per IMF has been considered.

4. Provide the following details related to water discharged:

Parameter	FY 2024-25 (Current Financial Year)	FY 2023-24 (Previous Financial Year)
Water discharge by destination and level of treatment (in kilolitres)		
(i) To Surface water		
- No treatment	-	-
- With treatment – please specify level of treatment	-	-
(ii) To Groundwater		
- No treatment	-	-
- With treatment – please specify level of treatment	-	-
(iii) To Seawater		
- No treatment	-	-
- With treatment – please specify level of treatment	-	-
(iv) Sent to third-parties		
- No treatment	-	-
- With treatment – please specify level of treatment	-	-
(v) Others		
- No treatment	7823	6621.73
- With treatment – please specify level of treatment	-	-
Total water discharged (in kilolitres)	-	-

*Usage of water in IIFL Capital is essentially for domestic purpose like drinking and sanitation for employees. Being a financial service sector company, no effluent discharge is involved in its business activity.

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency. Yes. Limited assurance of BRSR Core has been carried out by Lodha & Co. LLP for FY 2024-25.

5. Has the entity implemented a mechanism for Zero Liquid Discharge? If yes, provide details of its coverage and implementation.

Being a financial services company, we do not consume or discharge huge amounts of water/liquid products. Hence this question does not apply to us.

6. Please provide details of air emissions (other than GHG emissions) by the entity, in the following format:

Parameter	Please specify unit	FY 2024-25 (Current Financial Year)	FY 2023-24 (Previous Financial Year)
NOx	Given the nature of the financial services provider, details of air emissions other than GHG does not apply to the Company.		
SOx			
Particulate matter (PM)			
Persistent organic pollutants (POP)			
Volatile organic compounds (VOC)			
Hazardous air pollutants (HAP)			
Others – please specify			

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency. Not Applicable.

7. Provide details of greenhouse gas emissions (Scope 1 and Scope 2 emissions) & its intensity, in the following format:

Parameter	Unit	FY 2024-25 (Current Financial Year)	FY 2023-24 (Previous Financial Year)
Total Scope 1 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	Metric tonnes of CO ₂ equivalent	58 tCO ₂ e	14.56 tCO ₂ e
Total Scope 2 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	Metric tonnes of CO ₂ equivalent	1,685.22 tCO ₂ e	1,320.86 tCO ₂ e
Total Scope 1 and Scope 2 emission intensity per rupee of turnover (Total Scope 1 and Scope 2 GHG emissions / Revenue from operations)		0.000000085	0.000000071
Total Scope 1 and Scope 2 emission intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total Scope 1 and Scope 2 GHG emissions / Revenue from operations adjusted for PPP)		0.00000018	0.00000016
Total Scope 1 and Scope 2 emission intensity in terms of physical output		NA	NA
Total Scope 1 and Scope 2 emission intensity (optional) – the relevant metric may be selected by the entity: (Total Scope 1 and Scope 2 emission/total number of permanent employees)		1.12	0.90

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency. Yes. Limited assurance of BRSR Core has been carried out by Lodha & Co. LLP for FY 2024-25.

Note: Scope 1 emissions arise from direct activities such as diesel combustion for power generation, the use of fire extinguishers in mock drills, disposal of CO₂-based extinguishers, and gas refilling during maintenance or leakage repair of air conditioning systems.

Scope 2 emissions covers electricity consumed by the organization.

For the purpose of calculation of intensity adjusted Purchasing power parity (PPP), conversion factor @ 20.66 Rs/USD as per IMF has been considered.

8. Does the entity have any project related to reducing Green House Gas emission? If Yes, then provide details.

The Company is making every effort to reduce its greenhouse gas emissions. Towards this the Company has taken several sustainability initiatives which includes:

- LEED certified building/office – One office in Mumbai and Gurugram
- Installed solar panels at one of the offices
- Registered office building equipped with rainwater harvesting system and recycled waste water is reused as flush water and for watering plants
- Conducted Food waste awareness campaign amongst employees through mailers
- Treatment of e-waste in environment friendly manner
- Focused efforts to drive digitalization and reduce paper consumption

9. Provide details related to waste management by the entity, in the following format:

Parameter	FY 2024-25 (Current Financial Year)	FY 2023-24 (Previous Financial Year)
Total Waste generated (in metric tonnes)		
Plastic waste (A)	0.04	Not reported
E-waste (B)	0.48	3.62
Bio-medical waste (C)	-	-
Construction and demolition waste (D)	-	-
Battery waste (E)	-	-
Radioactive waste (F)	-	-
Other Hazardous waste. Please specify, if any. (G)	-	-
Other Non-hazardous waste generated (H).	3.95	Not reported
Other Non-hazardous waste includes paper, and other miscellaneous waste.		
Total (A+B + C + D + E + F + G + H)	4.47	3.62
Waste intensity per rupee of turnover (Total waste generated / Revenue from operations)	0.00000000021	0.00000000019
Waste intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total waste generated / Revenue from operations adjusted for PPP)	0.00000000043	0.00000000043
Waste intensity in terms of physical output	NA	NA
Waste intensity (optional) – the relevant metric may be selected by the entity (Total waste generated/total number of permanent employees)	0.0029	0.0024
For each category of waste generated, total waste recovered through recycling, re-using or other recovery operations (in metric tonnes)		
Category of waste		
(i) Recycled	-	-
(ii) Re-used	-	-
(iii) Other recovery operations	-	-
Total	-	-
For each category of waste generated, total waste disposed by nature of disposal method (in metric tonnes)		
Category of waste		
(i) Incineration	The Company has defined procedures in place to dispose off e-waste through authorized e-waste vendors. The Company receives certificate from the vendor for the same.	
(ii) Landfilling		
(iii) Other disposal operations		
Total		

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency. Yes. Limited assurance of BRSR Core has been carried out by Lodha & Co. LLP for FY 2024-25.

10. Briefly describe the waste management practices adopted in your establishments. Describe the strategy adopted by your company to reduce usage of hazardous and toxic chemicals in your products and processes and the practices adopted to manage such wastes.

Given the nature of the business, there is no usage of hazardous and toxic chemicals by the Company.

As per the nature of our business, office waste such as paper, plastic and e-waste make up our waste output. Our e-waste comprises of desktop sets, laptops, monitors, printers, scanners and tablets. Our Company has defined procedures in place to dispose off e-waste through authorized e-waste vendors.

Over the last few years, we have been taking conscious efforts to reduce usage of paper across our operations. Accordingly, we have implemented measures such as access based printing, default printing on both sides of the paper across all our offices and branches. We have also been circulating advisories to all our employees to adopt digital/online mediums in order to reduce paper consumption. We have installed paper shredder machines across large offices and also engage with vendors for safe disposal of waste paper. We are sending digital contract notes and client on boarding is 100% digital.

There are no single-use plastics being used across any of our branches and offices. We use 100% bio degradable plastic garbage bags to collect and dispose off dry and wet wastes.

The Company has expanded waste tracking from FY 2024-25 to include paper waste and plastic waste.

11. If the entity has operations/offices in/around ecologically sensitive areas (such as national parks, wildlife sanctuaries, biosphere reserves, wetlands, biodiversity hotspots, forests, coastal regulation zones etc.) where environmental approvals / clearances are required, please specify details in the following format:

S. No.	Location of operations/offices	Type of operations	Whether the conditions of environmental approval / clearance are being complied with? (Y/N) If no, the reasons thereof and corrective action taken, if any.
Not applicable, given that large part of our branches and offices are in commercial buildings.			

12. Details of environmental impact assessments of projects undertaken by the entity based on applicable laws, in the current financial year:

Name and brief details of project	EIA Notification No.	Date	Whether conducted by independent external agency (Yes / No)	Results communicated in public domain (Yes / No)	Relevant Web link
Not applicable					

13. Is the entity compliant with the applicable environmental law/ regulations/ guidelines in India; such as the Water (Prevention and Control of Pollution) Act, Air (Prevention and Control of Pollution) Act, Environment protection act and rules thereunder (Y/N). If not, provide details of all such non-compliances, in the following format:

S. No.	Specify the law / regulation / guidelines which was not complied with	Provide details of the non-compliance	Any fines / penalties / action taken by regulatory agencies such as pollution control boards or by courts	Corrective action taken, if any
Based on the nature of its business, the Company complies with applicable environmental norms.				

Leadership Indicators

1. Water withdrawal, consumption and discharge in areas of water stress (in kilolitres):

For each facility / plant located in areas of water stress, provide the following information:

- Name of the area – Most of our Company offices operated as part of the commercial buildings in major cities.
- Nature of operations - Company offers financial and brokerage service.
- Water withdrawal, consumption and discharge in the following format:

Parameter	FY 2024-25 (Current Financial Year)	FY 2023-24 (Previous Financial Year)
Water withdrawal by source (in kilolitres)		
(i) Surface water		
(ii) Groundwater		
(iii) Third party water		
(iv) Seawater / desalinated water		
(v) Others		
Total volume of water withdrawal (in kilolitres)		Not applicable.
Total volume of water consumption (in kilolitres)		
Water intensity per rupee of turnover (Water consumed / turnover)		
Water intensity (optional) – the relevant metric may be selected by the entity		
Water discharge by destination and level of treatment (in kilolitres)		
(i) Into Surface water		
- No treatment		
- With treatment – please specify level of treatment		
(ii) Into Groundwater		
- No treatment		
- With treatment – please specify level of treatment		
(iii) Into Seawater		
- No treatment		
- With treatment – please specify level of treatment		Not applicable.
(iv) Sent to third-parties		
- No treatment		
- With treatment – please specify level of treatment		
(v) Others		
- No treatment		
- With treatment – please specify level of treatment		
Total water discharged (in kilolitres)		

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency. Not Applicable.

2. Please provide details of total Scope 3 emissions & its intensity, in the following format:

Parameter	Unit	FY 2024-25 (Current Financial Year)	FY 2023-24 (Previous Financial Year)
Total Scope 3 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	Metric tonnes of CO ₂ equivalent	1,536.44 tCO ₂ e	Not reported
Total Scope 3 emissions per rupee of turnover		0.000000071	
Total Scope 3 emission intensity (optional) – the relevant metric may be selected by the entity (Total Scope 3 emissions/total number of permanent employees)		0.99	

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency. No. Independent assessment/ evaluation/assurance has not been carried out by an external agency.

Note: For Scope 3 emissions, the Company reports on the below categories:

Business Travel (Category 6): Covers air, rail and cab travel, with emissions estimated on a spend basis.

Employee Commuting (Category 7): Calculated based on Company's employee Commuting survey data, considering mode of transport, distance travelled and applicable emission factors.

3. With respect to the ecologically sensitive areas reported at Question 11 of Essential Indicators above, provide details of significant direct & indirect impact of the entity on biodiversity in such areas along-with prevention and remediation activities.

Not applicable

4. If the entity has undertaken any specific initiatives or used innovative technology or solutions to improve resource efficiency, or reduce impact due to emissions / effluent discharge / waste generated, please provide details of the same as well as outcome of such initiatives, as per the following format:

Sr. No	Initiative undertaken	Details of the initiative (Web-link, if any, may be provided along-with summary)	Outcome of the initiative
1	Green Power Procurement	Green Power Procurement has been made for our Registered Office and Corporate Office	Reduction in use of carbon intensity, conventional power and reducing carbon footprint
2	Water conservation	The Organisation has undertaken various initiatives for consuming water judiciously. These initiatives include installation of sensor based urinals and spindles for taps to help reduce freshwater consumption for domestic purposes.	These systems have been effective in reducing the overall consumption.
3	Use of energy efficient LEDs	Our offices are equipped with LED lights	Decreased energy consumption, contributing to sustainability efforts
4	Responsible disposal of Sanitary Napkins	The Company is disposing sanitary waste responsibly	Promotion of environmental stewardship and community health.
5	Collection, segregation and disposal of waste	The Company follows segregation and disposal of biodegradable and non-biodegradable waste in accordance with the local municipal laws and regulations.	The organization's responsible waste disposal practices have contributed to a positive environmental impact.

5. Does the entity have a business continuity and disaster management plan? Give details in 100 words/ web link.

The Company has a Business Continuity Management Policy duly approved by the Risk Management Committee and the Board of Directors.

The purpose of the Policy is to formalize the business continuity program of the Company and to provide guidelines for developing, implementing, exercising and maintaining specific business continuity plans for the respective departments of the Organization. More importantly, the Policy seeks to provide for the recovery of critical and important processes in accordance with pre-established timeframes, restoration of the processing site and ultimately return to a permanent operating environment. BCM Policy is aligned with ISO 22301 Business Continuity Management System Standard and applicable SEBI Guidelines.

The Company also has a robust Business Continuity Framework consisting of Crisis Management Team, Business Continuity Steering Committee, detailed Business Continuity Plan, Business Continuity Management Charter, IT DR Plan, Business Continuity Management Procedure, Business Impact Analysis, Risk Assessment & Business Continuity Awareness. In terms of the framework, the Business Impact Analysis is required to be updated regularly to determine the adequacy of recovery strategies. The strategies for recovery of critical and important processes are required to be updated in Business Continuity Plan. Periodic High Availability tests & IT DR Drill tests are also carried out.

Further, Technology team reviews the Disaster Recovery Plan of the Company.

6. Disclose any significant adverse impact to the environment, arising from the value chain of the entity. What mitigation or adaptation measures have been taken by the entity in this regard.

Given the nature of the Company's business, there has been no adverse impact on environment and the Company also expects all its value chain partners to follow existing regulations to avoid adverse impact to the environment.

7. Percentage of value chain partners (by value of business done with such partners) that were assessed for environmental impacts.

No assessment with regard to environmental impact was conducted for the value chain partners.

8. How many Green Credits have been generated or procured by the listed entity?

Nil

PRINCIPLE 7



Businesses, when engaging in influencing public and regulatory policy, should do so in a manner that is responsible and transparent

Essential Indicators

1. a. Number of affiliations with trade and industry chambers/ associations.

The Company was a Member of 5 (five) trade and industry chambers/associations during FY 2024-25.

b. List the top 10 trade and industry chambers/ associations (determined based on the total members of such body) the entity is a member of/ affiliated to.

Sr. No	Name of the trade and industry chambers/ associations	Reach of trade and industry chambers/ associations (State/National)
1	Association of Investment Bankers of India	National
2	Association of National Exchanges Members of India	National
3	Bombay Stock Exchange Brokers' Forum	National
4	Commodity Participants Association of India	National
5	Data Security Council of India (DSCI)	National

2. Provide details of corrective action taken or underway on any issues related to anti- competitive conduct by the entity, based on adverse orders from regulatory authorities.

Name of authority	Brief of the case	Corrective action taken
NIL		

Leadership Indicators

1. Details of public policy positions advocated by the entity:

Sr. No	Public policy advocated	Method resorted for such advocacy	Whether information available in public domain? (Yes/No)	Frequency of Review by Board (Annually/ Half yearly/ Quarterly / Others – please specify)	Web Link, if available
1.	Representation relating to compliance w.r.t. SEBI Circular on Enhanced obligations & responsibilities on Qualified Stock Brokers	Representation email sent to National Stock Exchange	No	NA	NA
2.	Representation regarding	Representation email sent to SEBI & Industry Standards Forum (ISF)	No	NA	NA
	a. SEBI Circular dated September 11, 2024 for allowing securities funded through cash collateral as maintenance margin for Margin Trading Facility (MTF) and NSE Circular dated October 11, 2024 on Revision in FAQ's and reporting format of Margin Trading Facility (MTF)				
	b. SEBI Circular dated August 20, 2024 on Cyber Security and Cyber Resilience Framework (CSCRF) for SEBI Regulated Entities (REs)				
	c. NSE Circular dated May 13, 2024 on Revision in Contract Note Format				
3.	a. SEBI Circular dated January 08, 2025 on Guidelines for Research Analyst	Representation email sent to SEBI seeking clarification in this regard	No	NA	NA
	b. SEBI Circular dated February 17, 2025 for Most Important Terms and Conditions (MITC) for Research Analysts				

PRINCIPLE 8



Businesses should promote inclusive growth and equitable development

Essential Indicators

1. Details of Social Impact Assessments (SIA) of projects undertaken by the entity based on applicable laws, in the current financial year.

Name and brief details of project	SIA Notification No.	Date of Notification	Whether conducted by independent external agency (Yes/No)	Results communicated in public domain (Yes/No)	Relevant web link
Not Applicable					

2. Provide information on project(s) for which ongoing Rehabilitation and Resettlement (R&R) is being undertaken by your entity, in the following format:

S. No.	Name of Project for which R&R is ongoing	State	District	No. of Project Affected Families (PAFs)	% of PAFs covered by R&R	Amounts paid to PAFs in the FY (in INR)
Not Applicable						

3. Describe the mechanisms to receive and redress grievances of the community.

Although IIFL Capital's core operations do not have a direct impact on local communities, the Company actively contributes to community development through its CSR initiatives undertaken through India Infoline Foundation (IIFL Foundation), the implementing agency. IIFL Capital has a CSR policy which provides for 3-tier mechanism for raising any concerns or grievances from various stakeholders and addressing the same. The Policy can be accessed on the Company's website here.

4. Percentage of input material (inputs to total inputs by value) sourced from suppliers:

Parameter	FY 2024-25 (Current Financial Year)	FY 2023-24 (Previous Financial Year)*
Directly sourced from MSMEs/ small producers	12%	6.21%
Directly from within India	100%	100%

5. Job creation in smaller towns – Disclose wages paid to persons employed (including employees or workers employed on a permanent or non-permanent / on contract basis) in the following locations, as % of total wage cost

Parameter	FY 2024-25 (Current Financial Year)	FY 2023-24 (Previous Financial Year)
Rural	-	-
Semi-urban	0.08%	0.05%
Urban	1.39%	1.89%
Metropolitan	98.53%	98.06%

Location has been categorized as per RBI Classification System - rural / semi-urban / urban / metropolitan.

*The Company has revised its calculation methodology to better align with best practices, including the guidelines set forth in SEBI's circular dated December 20, 2024, which outlines Industry Standards Forum guidance for BRSR Core, resulting in an updated figure for the previous financial year.

Leadership Indicators

1. Provide details of actions taken to mitigate any negative social impacts identified in the Social Impact Assessments (Reference: Question 1 of Essential Indicators above):

Details of negative social impact identified	Corrective action taken
Not Applicable	

2. Provide the following information on CSR projects undertaken by your entity in designated aspirational districts as identified by government bodies:

S. No.	State	Aspirational District	Amount spent (In INR)
1	Jammu & Kashmir	Kupwara	15,24,600.00
2	Jammu & Kashmir	Baramulla	32,00,000.00
3	Rajasthan	Baran	5,00,000.00

3. (a) Do you have a preferential procurement policy where you give preference to purchase from suppliers comprising marginalized /vulnerable groups? (Yes/No)

Given the nature of business of IIFL Capital the sourcing needs of the company are limited. However, the CSR policy of the Company provides for preferential procurement of materials from suppliers identified under vulnerable and marginalized groups, while implementing its projects through IIFL Foundation.

(b) From which marginalized /vulnerable groups do you procure?

Vendors/suppliers that fall in the Scheduled Caste & Scheduled Tribe communities.

(c) What percentage of total procurement (by value) does it constitute?

10% of total procurement of IIFL Securities in relation to CSR activities undertaken through IIFL Foundation.

4. Details of the benefits derived and shared from the intellectual properties owned or acquired by your entity (in the current financial year), based on traditional knowledge:

S. No.	Intellectual Property based on traditional knowledge	Owned/ Acquired (Yes/No)	Benefit shared (Yes / No)	Basis of calculating benefit share
Not Applicable				

5. Details of corrective actions taken or underway, based on any adverse order in intellectual property related disputes wherein usage of traditional knowledge is involved.

Name of authority	Brief of the Case	Corrective action taken
Not Applicable		

6. Details of beneficiaries of CSR Projects:

S. No.	CSR Project	No. of persons benefitted from CSR Projects	% of beneficiaries from vulnerable and marginalized groups
1	Retail Sales Associate Training Programme at Kupwara, Jammu & Kashmir.	108	100%
2	Sakhiyon ki Baadi, Rajasthan.	8,280	100%
3	Training for Youths in Beauty & Wellness and Computer Coding (KOJO), Baramulla, Jammu & Kashmir.	165	100%
4	E-bikes for Dabbawallas (Tiffin Delivery Service), Mumbai, Maharashtra.	100	0%
5	Skill building and Livelihood Programme for Rag Pickers, Mumbai, Maharashtra.	110	100%
6	Installation of Solar street lights (Rural), Ratnagiri, Maharashtra.	3,284	90%
7	Skill Training for women appliqué and embroidery artists, Barmer, Rajasthan.	228	100%
8	Computer Laboratory at Mahatma Gandhi Govt. School, Rajsamand, Rajasthan.	365	100%
9	Computer Laboratory at Rawat Nahar Singh Govt. Girls Senior Secondary School, Rajsamand, Rajasthan.	443	100%
10	Project E-Shiksha – Smart Boards at 50 Government Schools, Kota, Rajasthan.	12,000	100%
11	Construction of a Government School at Baran, Rajasthan.	233	100%

PRINCIPLE 9



Businesses should engage with and provide value to their consumers in a responsible manner

Essential Indicators

1. Describe the mechanisms in place to receive and respond to consumer complaints and feedback.

We have implemented robust mechanisms to effectively manage consumer complaints and feedback, aimed at enhancing customer experience through innovative digital solutions and comprehensive support channels. Our pioneering initiatives include the integration of self-service tools such as IIFL Help, a FAQ-based portal accessible via our mobile app and website, which significantly reduces the need for manual intervention and streamlines query handling. Additionally, interactive interfaces like WhatsApp and CHATBOT provide instant access to reports, information updates, and service modifications around the clock. For further convenience, our new AAA Help module empowers Relationship Managers with a simplified ticket creation process, ensuring swift issue resolution and improved client satisfaction. Complementing these digital platforms, we offer offline support through multiple channels including email, phone, and ASK IIFL (Chatbot), supported by detailed escalation matrix for prompt resolution of grievances.

Through proactive client education initiatives and regular communications, we strive to empower customers with essential insights relating to their trading account and send advisory regarding investor alertness to clients on a monthly basis thereby ensuring their continuous awareness and engagement.

2. Turnover of products and/ services as a percentage of turnover from all products/service that carry information about:

Name of authority	As a percentage to total turnover
Environmental and social parameters relevant to the product	
Safe and responsible usage	Not applicable to our products & services
Recycling and/or safe disposal	

3. Number of consumer complaints in respect of the following:

	FY 2024-25 Current Financial Year		Remarks	FY 2023-24 Previous Financial Year		Remarks
	Received during the year	Pending resolution at end of year		Received during the year	Pending resolution at end of year	
Data privacy	NIL	NIL	NA	NIL	NIL	NA
Advertising	NIL	NIL	NA	NIL	NIL	NA
Cyber-security	NIL	NIL	NA	NIL	NIL	NA
Delivery of essential services	NIL	NIL	NA	NIL	NIL	NA
Restrictive Trade Practices	NIL	NIL	NA	NIL	NIL	NA
Unfair Trade Practices	NIL	NIL	NA	NIL	NIL	NA
Other*	8	6	Alleging deficiency in service	11	08	Alleging deficiency in service

*These complaints pertain to consumer cases.

4. Details of instances of product recalls on account of safety issues:

	Number	Reasons for recall
Voluntary recalls	Not Applicable	
Forced recalls		

5. Does the entity have a framework/ policy on cyber security and risks related to data privacy? (Yes/No) If available, provide a web-link of the policy.

Yes, the Company has in place Information and Cyber Security Policy. Risks related to data privacy are part of the said Policy. The Policy is an internal document and accessible to the employees on intranet.

6. Provide details of any corrective actions taken or underway on issues relating to advertising, and delivery of essential services; cyber security and data privacy of customers; re-occurrence of instances of product recalls; penalty / action taken by regulatory authorities on safety of products / services.

There were no complaints reported during the reporting period relating to advertising, delivery of essential services, cyber security and data privacy of customers, re-occurrence of instances of product recalls or penalty / action taken by regulatory authorities on safety of products / services. Accordingly no material corrective action was required to be taken by the Company in FY25.

7. Provide the following information relating to data breaches:

- a. Number of instances of data breaches - Nil
- b. Percentage of data breaches involving personally identifiable information of customers - Nil
- c. Impact, if any, of the data breaches - Not applicable

Leadership Indicators

1. Channels / platforms where information on products and services of the entity can be accessed (provide web link, if available).

Information regarding the products and services offered by the Company is comprehensively available across several channels and platforms, ensuring transparency and ease of access for all stakeholders. These avenues include:

Official website:

Information on products and services of the Company can be accessed at www.iiflcapital.com

Mobile Application:

One Stop Shop for Smart Financial Market Investors. Available on Google Playstore and Apple App. Detailed at <https://www.indiainfoonline.com/iifl-markets-mobile-app>

Help Desk & Customer Care:

Direct support for inquiries related to products and services available at <https://www.iiflcapital.com/contact-us>

2. Steps taken to inform and educate consumers about safe and responsible usage of products and/or services.

Consumers are regularly informed and educated about safe and responsible usage of service through updation of information on the website of the Company and sending regular emails, SMS and notification in this regard.

3. Mechanisms in place to inform consumers of any risk of disruption/discontinuation of essential services.

Consumers are informed of any risk of disruption/discontinuation of essential services through call centre, website, emails and SMS.

4. Does the entity display product information on the product over and above what is mandated as per local laws? (Yes/No/Not Applicable) If yes, provide details in brief.

IIFL Capital follow all guidelines issued by Regulators like Securities Exchange Board of India (SEBI) and Association of Mutual Funds in India (AMFI) for any product solicitation. The Company takes pre-requisite approval from local and other regulatory agencies for any promotional activities. Thereby leading to ethical marketing and advertising practices. With respect to Mutual Funds our relationship representatives are AMFI certified to solicit the product that suits the customer. The Company follows basic code of conduct and ethics defined to solicit other wealth management products.

Did your entity carry out any survey with regard to consumer satisfaction relating to the major products / services of the entity, significant locations of operation of the entity or the entity as a whole? (Yes/No)

Every written response to concern raised by a client has a feedback link inserted to rate the services of the Company. Also, for verbal queries received, the calls are routed to interactive voice response (IVR) to rate the services at the completion of the call.

LIMITED ASSURANCE REPORT ON IDENTIFIED SUSTAINABILITY INFORMATION of IIFL CAPITAL SERVICES LIMITED FOR FINANCIAL YEAR 2024-25

To the Board of Directors of IIFL Capital Services Limited

We have undertaken to perform limited assurance engagement, for IIFL Capital Services Limited (IIFL CSL) as a standalone entity (not including any subsidiaries and joint ventures) vide engagement dated 25th February 2025 in respect of the agreed Sustainability Information listed below (the “Identified Sustainability Information”) in accordance with the criteria notified by the Securities & Exchange Board of India (SEBI). This engagement was conducted by a multidisciplinary team including technical and assurance professionals. A detailed BRSR (Business Responsibility and Sustainability Report) Core Report for the year ended 31st March 2025, is attached herewith as Exhibit 1.

Identified Sustainability Information

The Identified Sustainability Information for the year ended 31st March 2025 is summarized below:

BRSR Core KPIs/ Indicators	Selected KPIs	Scope of Coverage
GHG footprint	Total Scope 1 and scope 2 emissions	All offices owned/ leased by IIFL CSL
Water footprint	Water consumption and discharge	All offices owned/ leased by IIFL CSL
Energy footprint	Total energy consumed from renewable and non-renewable energy sources	All offices owned/ leased by IIFL CSL
Waste	Type of waste generated, amount of waste recycled/ reused, amount of waste disposed (incineration/ landfill)	All offices owned/ leased by IIFL CSL
Employee safety and wellbeing	Amount of revenue spent on wellbeing of employees, details of safety related incidents	All offices owned/ leased by IIFL CSL
Gender Diversity	Wages paid to female employees, complaints related to POSH	All offices owned/ leased by IIFL CSL
Inclusive Development	Input material sourced directly from MSMEs, job creation in smaller towns	All offices owned/ leased by IIFL CSL
Fairness in Engaging with Customers and Suppliers	Instances involving loss/ breach of data of customers	All offices owned/ leased by IIFL CSL
Open-ness of business	Purchases & sales done with trading houses, dealers, and related parties, Loans and advances & investments with related parties	All offices owned/ leased by IIFL CSL

Our limited assurance engagement was with respect to the year ended on 31st March 2025 information only unless otherwise stated and we have not performed any procedures with respect to earlier periods or any other elements included in the BRSR and, therefore, do not express any conclusion thereon.

Criteria

The criteria used by the Company to prepare the Identified Sustainability Information are as per the format mandated by the SEBI vide circular no. SEBI/HO/CFD/CFD-SEC-2/P/CIR/2023/122 dated 12th July 2023.

Management Responsibility

The Company's management is responsible for selecting or establishing suitable criteria for preparing the Sustainability Information, taking into account applicable laws and regulations, if any, related to reporting on the Sustainability Information, Identification of key aspects, engagement with stakeholders, content, preparation and presentation of the Identified Sustainability Information in accordance with the criteria. This responsibility includes design, implementation and maintenance of internal control relevant to the preparation of the BRSR and the measurement of Identified Sustainability Information, which is free from material misstatement, whether due to fraud or error.

Inherent limitations

The absence of a significant body of established practice on which to draw to evaluate and measure non-financial information allows for different, but acceptable, measures and measurement techniques and can affect comparability between entities.

Our Independence and Quality Control

We have maintained our independence and confirm that we have met the requirements of the Code of Ethics issued by the Institute of Chartered Accountants of India and have the required competencies and experience to conduct this assurance engagement.

The firm applies Standard on Quality Control (SQC) 1, "Quality Control for Firms that Perform Audits and Reviews of Historical Financial Information, and Other Assurance and Related Services Engagement", and accordingly maintains a comprehensive system of quality control including documented policies and procedures regarding compliance with ethical requirements, professional standards, and applicable legal and regulatory requirements.

Our Responsibility

Our responsibility is to express a limited assurance conclusion on the Identified Sustainability Information based on the procedures we have performed and evidence we have obtained.

We conducted our engagement in accordance with the Standard on Sustainability Assurance Engagements (SSAE) 3000, "Assurance Engagements on Sustainability Information", issued by the Sustainability Reporting Standards Board of the Institute of Chartered Accountants of India. This standard requires that we plan and perform our engagement to obtain limited assurance about whether the Identified Sustainability Information is free from material misstatement.

A limited assurance engagement involves assessing the suitability in the circumstances of the Company's use of the Criteria as the basis for the preparation of the Identified Sustainability Information, assessing the risks of material misstatement of the Identified Sustainability Information whether due to fraud or error, responding to the assessed risks as necessary in the circumstances, and evaluating the overall presentation of the Identified Sustainability Information.

A limited assurance engagement is substantially less in scope than a reasonable assurance engagement in relation to both the risk assessment procedures, including an understanding of internal control, and the procedures performed in response to the assessed risks.

The procedure we performed were based on our professional judgment and included inquiries, observation of processes performed, inspection of documents, evaluating the appropriateness of quantification methods and reporting policies, analytical procedures and agreeing or reconciling with underlying records.

Given the circumstances of the engagement, in performing the procedures listed above, we:

- Gained a comprehensive understanding of the Identified Sustainability Information and the corresponding disclosures
- Reviewed Company's policies, and practices, pertaining to environment, social and governance.
- Understood the appropriateness of the methods used for assumptions and estimations used by the Company for calculating and reporting purposes.
- Identified potential risks of material misstatements in the Identified Sustainability Information.
- Engaged with the Company's management and relevant stakeholders to understand the reporting processes, key assumptions, and governance mechanisms in place.
- Conducted substantive testing on a sample basis to verify the accuracy and reliability of the Identified Sustainability Information.

- Examined underlying records and conducted testing procedures, including recalculations, to validate reported sustainability information.
- Reviewed the disclosures in BRSR Core to identify and assess any significant discrepancies between reported performance and source data/information.

Exclusions

Our assurance scope excludes the following and therefore we do not express a conclusion on the same:

- Operations of the Company other than those mentioned in the “Scope of Assurance”.
- Aspects of the BRSR and the data/information (qualitative or quantitative) other than the Identified Sustainability Information.
- Data and information outside the defined reporting period i.e. financial year 2024-2025.
- The statements that describe expression of opinion, belief, aspiration, expectation, aim, or future intentions provided by the Company.

Limited Assurance Conclusion

Based on the procedures we have performed and the evidence we have obtained, nothing has come to our attention that causes us to believe that the Company’s Identified Sustainability information included in the BRSR Core for year ended 31st March 2025 are not prepared, in all material respects, in accordance with the Criteria.

Restriction on Use

Our limited assurance report has been prepared and addressed to the Board of Directors of IIFL Capital Services Limited at the request of the Company solely, to assist Company in reporting on Company’s sustainability performance and activities. Accordingly, we accept no liability to anyone, other than the Company. Our deliverables should not be used for any purpose other than addressees of our Deliverables. The firm neither accepts nor assumes any duty of care or liability for any other purpose or to any other party to whom our Deliverables are shown or into whose hands it may come without our prior consent in writing.

For Lodha & CO LLP

Chartered Accountants
(Registration No. 301051E/E300284)

Pradeep Malu

Partner
(Membership No. 033395)
UDIN:25033395BMOETN7497

Place of Signature: Mumbai/Menlo Park, CA, USA

Date: 28th July 2025